



Contemporary Intellectual Property: Law and Policy (6th edn)

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p. 655 16. Passing off

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<https://doi.org/10.1093/he/9780192855916.003.0016>

Published in print: 14 August 2023

Published online: August 2023

Abstract

This chapter examines the action of passing off, that is, the means by which one trader may prevent another from misleading customers by misrepresenting (or ‘passing off’) goods or services as emanating from the former party. It analyses the key elements of goodwill, misrepresentation, and damage, as well as considering extended passing off by reference to multiple examples of groups of producers seeking to protect the goodwill associated with their products. It concludes with discussion of key issues regarding the future of passing off, in particular in relation to the internet and its possible development as a law against unfair competition.

Keywords: goodwill, misrepresentation, damage, defences, passing off, unfair competition

Introduction

Scope and overview of chapter

16.1 This chapter considers the action of passing off, a means by which one trader may prevent another from misleading customers by representing (or ‘passing off’) their goods or services as emanating from the claimant. Although conceptually this part of the law is linked to registered trade mark law by offering protection to unregistered trade marks which are nonetheless badges of identity in the marketplace, passing off is different in many important respects.

16.2 Learning objectives

By the end of this chapter you should be able to:

- define and explain the scope of the action of passing off;
- define and explain each of the principal elements of passing off, namely, goodwill, misrepresentation, and damage;
- differentiate passing off from other, closely related aspects of intellectual property protection, such as registered trade marks;
- understand and explain the role of passing off in the internet context;
- discuss the relationship between passing off and concepts of unfair competition.

16.3 After an introductory discussion, the chapter analyses the leading judicial definitions of passing off, from which emerge the key elements of goodwill, misrepresentation, and damage. These elements are then taken in turn for more detailed discussion, and some specific issues are considered. The chapter concludes with discussion of some contemporary issues in relation to passing off and the internet, and unfair competition. So, the chapter looks like this:

- Overview of passing off (16.4–16.8)
- Definitions (16.9–16.12)
- ↩ Goodwill (16.13–16.35)
- Misrepresentation (16.36–16.58)
- Damage (16.59–16.62)
- Defences (16.63)
- The internet and passing off (16.64–16.70)
- Unfair competition and passing off (16.71–16.74).

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Overview of passing off

16.4 The action of ‘passing off’ is well established in the various jurisdictions of the UK, having first developed in the common law of England and Wales and then been received in the early nineteenth century in the Scottish courts.¹ Today there is little if any difference in the two jurisdictions on the subject. The usual question in passing off actions is whether, in marketing goods or services, one party has employed an identifying device or badge associated in the market with another party or parties. In its most typical form, the action concerns the use of words or names as trade marks.²

The remedy which the law gives to a person who has used a particular name in trade is that he is entitled to prevent others from using the same name in such a way as is likely to mislead the public into thinking that the business or the goods so described is or are the business or goods of the claimant.

However, as long ago as 1842 Lord Langdale MR suggested that the action was of broader scope than merely the misleading use of names:³

A man is not to sell his own goods under the pretence that they are the goods of another man; he cannot be permitted to practise such a deception, nor to use the means which contribute to that end. He cannot therefore be allowed to use names, marks, letters or other indicia, by which he may induce purchasers to believe, that the goods he is selling are the manufacture of another person.

In modern times, the action has been applied to stop a variety of forms of passing off, using not only names, but also a wide variety of other ways in which traders enable customers to identify their products and distinguish them from those of competitors. One way of thinking about passing off is as a form of protection for unregistered trade marks;⁴ but the scope of protection offered by the common law extends beyond trade marks as such. This will be seen throughout this chapter, although it should also be borne in mind that passing off and trade marks are often part of the same action,⁵ and courts and parties in some cases have acknowledged that on their particular facts, success in a trade mark action would mean that there will also be passing off.⁶

p. 657 **Basis of passing off action**

16.5 At one time, the right to prevent passing off was thought to arise because the claimant was assumed to have acquired, by exclusive appropriation, a right of property in a marketing device. However, it became unacceptable to suppose that there could be property rights in names or words, or that use alone could create such property rights. In England and Wales, the action came to be seen as based on two elements:

- the existence of trading *goodwill* or reputation, the desire of customers to buy from one trader rather than another, which was conceived of as a right of property of the first trader, especially as it had market value in the buying and selling of the business itself;
- the invasion of that right of property by means of a *misrepresentation*.

Marketing devices are an important element in goodwill because their use enables customers to identify the products of particular traders and to distinguish them from those of competitors. The association between device and trader means that use of the device by another trader may mislead the customer, who believes they are obtaining the goods and services of one trader while in fact receiving those of another. The typical injury in passing off is loss of custom to a competitor, while the wrong which leads to the injury is the false statement by the competitor. In Scotland, the action for passing off has been said to be 'based on the general right which everyone possesses not to have published about him or his goods, statements which are both untrue and prejudicial to his pecuniary interests'.⁷

16.6 As a result of its being rooted in the protection of goodwill, passing off is no longer confined to the case of one trader representing their goods as those of another. Wherever there is a misrepresentation damaging goodwill—for example, creating injurious associations in the public mind—there may be a claim for passing off. This is not to say that passing off has become a general law of unfair competition.

Key points on development of passing off

- Passing off starts with the idea that one person may not represent their goods or services as those of another and so gain business which should have gone to that other.
- In modern law, passing off is seen as protecting trading goodwill against misrepresentations in general, and this has been a basis for extending the scope of the action considerably.

International background

16.7 Since passing off is a long-established common law matter, it has been less affected than other areas of intellectual property by international conventions. But it has been taken, alongside consumer protection law for instance, to satisfy the Paris Convention for the Protection of Industrial Property requirement for protection against unfair competition.

Paris Convention Article 10bis

- (1) The countries of the Union are bound to assure nationals of such countries effective protection against unfair competition.
- (2) Any act of competition contrary to honest practices in industrial or commercial matters constitutes an act of unfair competition.
- (3) ↵ The following in particular shall be prohibited:
 1. all acts of such nature as to create confusion by any means whatever with the establishment, the goods, or the industrial or commercial activities, of a competitor;
 2. false allegations in the course of trade of such a nature as to discredit the establishment, the goods, or the industrial or commercial activities, of a competitor;
 3. indications or allegations the use of which in the course of trade is liable to mislead the public as to the nature, the manufacturing process, the characteristics, the suitability for their purpose, or the quantity, of the goods.

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In other countries, particularly in Europe, unfair competition is a civil wrong actionable at the hand of competitors, and is certainly wider in scope than passing off. But as passing off has developed and extended its scope, so questions have been raised as to whether it is itself moving in the direction of an unfair competition action or, indeed, as to whether an unfair competition action should be introduced by statute, to bring the UK closer to its European neighbours.⁸

16.8 The Paris Convention also requires the countries of the Union to protect ‘well-known’ marks from other member countries by refusing or cancelling registrations or, more importantly for passing off, prohibiting their use by way of reproduction, imitation, or translation, when liable to cause confusion.⁹ This was implemented in the UK by section 56 of the Trade Marks Act (TMA) 1994, and has had an important effect on the law of passing off, noted at para 16.16.

Definitions

16.9 A classical definition of passing off was given in the House of Lords by Lord Oliver in the ‘Jif Lemon’ case, *Reckitt & Coleman Products v Borden Inc*,¹⁰ when he outlined what had to be shown for a party to succeed in a passing off action as follows (at 406):

First, he must establish a *goodwill or reputation* attached to the goods or services which he supplies in the mind of the purchasing public by association with the identifying ‘get-up’ (whether it consists simply of a brand name or a trade description, or the individual features of labelling or packaging) under which his particular goods are offered to the public, such that the get-up is recognised by the public as distinctive specifically of the plaintiff’s goods or services. *Second*, he must demonstrate a *misrepresentation* (whether or not intentional) leading or likely to lead the public to believe that goods or services offered by him are the goods or services of the plaintiff. Whether the public is aware of the plaintiff’s identity as the manufacturer or supplier of the goods and services is immaterial, as long as they are identified with a particular source which is in fact the plaintiff. For example, if the public is accustomed to rely upon a particular brand name in purchasing goods of a particular description, it matters not at all that there is little or no public awareness of the identity of the proprietor of the brand name. *Third*, he must demonstrate that he suffers or, in a quia timet action, that he is likely to suffer *damage* by reason of the erroneous belief engendered by the defendant’s misrepresentation that the source of the defendant’s goods or services is the same as the source of those offered by the plaintiff. (emphasis added)

This definition, with its trilogy of *goodwill*, *misrepresentation*, and *damage*, provides an excellent basic structure for an account of the typical case of passing off, where one trader simply sells goods or services in the guise of another trader’s goods or services.

Question

What are the key concepts in passing off? Consider also the debates outlined in H Carty, 'Passing off: frameworks of liability debated' [2012] IPQ 106.

p. 659 ↩ **16.10** While Lord Oliver's three elements remain at the heart of this extension, they require some further elaboration. That can be found in an earlier leading House of Lords case, *Erven Warnink v Townend*,¹¹ the 'Advocaat' case, still probably the most important decision on the extended version of passing off. Lords Diplock and Fraser gave the following definitions in their speeches.

Lord Diplock said (at 742):

[It is] possible to identify five characteristics which must be present in order to create a valid cause of action for passing off:

- (1) a misrepresentation
- (2) made by a trader in the course of trade,
- (3) to prospective customers of his or ultimate consumers of goods or services supplied by him,
- (4) which is calculated to injure the business or goodwill of another trader (in the sense that this is a reasonably foreseeable consequence), and
- (5) which causes actual damage to a business or goodwill of the trader by whom the action is brought or (in a quia timet action) will probably do so.

Lord Fraser said (at 755–56):

It is essential for the plaintiff in a passing off action to show at least the following facts:

- (1) That his business consists of, or includes, selling in England a class of goods to which the particular trade name applies;
- (2) That the class of goods is clearly defined, and that in the minds of the public, or a section of the public, in England, the trade name distinguishes that class from other similar goods;
- (3) That because of the reputation of the goods, there is goodwill attached to the name;
- (4) That he, the plaintiff, as a member of the class of those who sell the goods, is the owner of goodwill in England which is of substantial value;
- (5) That he has suffered, or is really likely to suffer, substantial damage to his property in the goodwill by reason of the defendant's selling goods which are falsely described by the trade name to which the goodwill is attached.

16.11 These two statements are not easily reconciled in all respects. Lord Fraser appears to confine passing off to the misuse of trade names in relation to goods, while Lord Diplock speaks simply of misrepresentations in the course of trade, without limiting the ways in which such misrepresentations may be made. It has long been clear, however, that services may be passed off as well as goods¹² and that the form which the misrepresentation may take includes statements other than trade names. Lord Fraser's stress on activity and goodwill in England is also important but it is not thought that by this he meant to indicate that the law would be different in Scotland. In general it appears best to treat his remarks as directed entirely at the very special kind of case which he was then deciding, namely, one involving misuse of a trade name in which many traders, some from outside the UK, shared goodwill, and not as intended to restrict the scope of the action in other cases, or in Scotland. Lord Diplock's definition, on the other hand, comprehends not only such trade name cases but also all the other situations in which passing off has been held to have taken place.

Exercise

What are the differences between (1) Lord Oliver's definition of passing off; and (2) those of Lords Diplock and Fraser; or between the definitions of Lords Diplock and Fraser? Does it matter and, if so, why? What do the definitions have in common?

p. 660 Business context

16.12 Passing off must take place in a business context. Although 'business context' has been widely interpreted in the courts to include, for example, charities,¹³ in some cases an action has failed because the context has not been one of commercial activity. In *Kean v McGivan*¹⁴ an action on behalf of a political party regarding the use of the initials 'SDP' failed because the plaintiff was not carrying on a business. Similarly, it may not be possible to prevent another person using the name of one's house.¹⁵ Trade associations such as the Scotch Whisky Association can only sue in respect of their own trading activities as distinct from those of their members, although the members may sue together as individual organisations.¹⁶

Discussion point

For answer guidance visit www.oup.com/he/brown6e <<https://iws.oupsupport.com/ebook/access/content/brown6e-student-resources/brown6e-chapter-16-guidance-on-answering-the-discussion-points?options=showName>>.

Can you conceive of circumstances in which use of the name of another person's house might be passing off? Is a political party any less in business than a charity? What about a school? Or a university?

Key points about the definition of passing off

There are three major elements to be established in a passing off action:

- (1) goodwill;
- (2) misrepresentation;
- (3) damage.

This must all occur in a business context.

Goodwill

Definition of goodwill

16.13 It is essential that the party claiming passing off should enjoy goodwill before any action can succeed.¹⁷ Goodwill is ‘the attractive force which brings in custom’, or, ‘whatever adds value to a business by reason of situation, name and reputation’ (*IRC v Muller & Co’s Margarine Ltd*).¹⁸

These definitions focus attention first on the existence of *customers* as the starting point for understanding the concept, and explain goodwill as that composite of elements which leads to customers *choosing to give their business to a particular trader, or to acquire that trader’s product*. Reputation as such is not enough; customers must be attracted to the business as a result of a particular element or elements of a trader’s activities. Court actions may involve several different sets of goodwill.¹⁹ For there to be protectable goodwill

p. 661 ↪ in a device, it must be established that in the relevant market there is an association between it and a particular trader or class of traders. This association needs to be established by evidence. The trader’s actual identity need not be known to the public, as long as the device is known to distinguish their product or services in the market.²⁰ The test for the existence of goodwill is less demanding than that of distinctiveness in relation to registered trade marks.²¹ A modest amount of goodwill can suffice.²²

Question

How may goodwill be defined?

16.14 In general the public’s association of a device with a trader should arise from use of the device. The period of use need not have been long—three weeks was sufficient to justify the granting of an interlocutory injunction in one English case.²³ Publicity prior to the launch of a business may in exceptional circumstances create sufficient goodwill to permit the raising of an action of passing off.²⁴ Goodwill may survive the

cessation of use if there is an intention appropriately manifested to return to business,²⁵ but if the goodwill is disposed of when the business is abandoned, then there can be no claim of subsequent passing off.²⁶ The purchaser of goodwill is entitled to protect it by actions of passing off, even against the former owner.²⁷ Goodwill may be lost over time where there is a cessation or significant reduction in activity and reputation.²⁸

■ *Knight v Beyond Properties Pty Ltd* [2007] FSR 34

'Mythbusters' was the title of a series of primary school-age children's books published in the first half of the 1990s. From late 2003, 'Mythbusters' was used by others as the title for a 'dads and lads' TV series. The author of the book series sued the TV producers for passing off. The claim was dismissed. Although the title 'Mythbusters' was capable of generating goodwill, and the claimant had established a reputation in the UK sufficient to attract passing off protection between 1993 and 1996, it was no longer significant by 2003.

■ *Wise Property Care Ltd v White Thomson Preservation Ltd* [2008] CSIH 44

In 1976 W and T set up a company called WTP Ltd, carrying out business in property preservation services. In 1983 W and T went their separate ways, trading respectively as WTP (Northern) Ltd (WTPNL) and WTP (Southern) Ltd in different regions of Scotland. W was joined in WTPNL by his three sons. In 2002 the sons left and set up a new company called White Preservation Ltd (WPL); one son (E) left this in 2004. In 2005 W retired and WTPNL was dissolved. In 2006 the two sons who remained sold the business and assets of WPL to Wise Property Care Ltd; Wise successfully ran the business until late 2007 as 'White Preservation, a division of Wise Property Care Ltd'. WPL's name was first changed to 'Gragav Ltd', then the company was dissolved. Wise separately set up a company called WPL but it never traded. In 2007 E set up a new company called WTP Ltd, adopting the business get-up of his father's former company and undertaking to honour its guarantees. The court accepted that in effect E was reviving a dormant business. Wise sued E's company for passing off. Interim interdict was granted on the balance of convenience. Wise had built up goodwill in the 'White Preservation' name; the companies were trading in the same business and region; consumers were confused, although local property professionals such as solicitors were not; and WTP Ltd was effectively a newcomer or interloper, the interests of which should be given less weight than those of the established business. Note that although the defender was a 'newcomer', it was in fact the only one of the two companies involved which had within its operation a member of the family which had given its name to the business acquired by the pursuers, Wise.²⁹

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Goodwill and reputation: the problem of location

16.15 There are two problems:

- (1) the goodwill which a trader based here may enjoy abroad; and
- (2) that which a foreign trader may have in this country.

With regard to (1), a home trader may protect foreign goodwill by means of the action of passing off in relation to the act of export to the relevant overseas jurisdiction.³⁰ However, as concerns (2), English case law has established that there is no action for passing off where there is *reputation but no trading activity* in the UK.³¹ The difficult situation is that of a well-known foreign trader whose distinctive indicia has been adopted by another party in the UK. The foreign plaintiff's passing off action will succeed only if they can show goodwill in the UK; merely being known there will not suffice. This does not necessarily mean having a place of business: goodwill could, for example, arise through sales of the foreign trader's goods within the jurisdiction. What is required to build up the requisite goodwill for an overseas services business—for example, a well-known hotel or restaurant—has, however, been less clear. Although one line of cases had indicated that there would be no goodwill within the jurisdiction unless bookings were made by UK-based customers through an office or agent located in the UK (the so-called 'direct bookings' test), there were signs that this approach was no longer regarded as appropriate.³²

■ *Hotel Cipriani SRL v Cipriani (Grosvenor Street) Ltd* [2009] RPC 9; [2010] RPC 16

The Community trade mark 'Cipriani' was used for hotels in Venice, Lisbon, and Madeira by HC. CGSL used the name on a sign for their restaurant in London. It was confirmed that the claimant had to own goodwill in the UK, rather than merely having a reputation in the UK. It was, however, sufficient to establish UK goodwill that the plaintiff's services were booked by customers in the UK. There was a significant volume of business placed with the plaintiff from the UK either by individuals or via travel agents or tour operators. Without formally deciding the issue, the Court of Appeal indicated that, in the modern context and with many businesses having webpages through which services or facilities could be booked directly online, the 'direct bookings' test may be 'increasingly outmoded' (para 124).

However, more recently the Supreme Court has reaffirmed a stricter approach based on the 'direct bookings' test:

■ *Starbucks (HK) Ltd v British Sky Broadcasting Group plc (Supreme Court) [2015] ETMR 31*

The claimant was the operator of an internet protocol television (IPTV) service in Hong Kong. The claimant's Hong Kong service operated under the brand name 'NOW TV'. The claimant objected to the defendant's launch of its own IPTV service called 'NOW TV' in the UK. The claimant's action for passing off before the English courts failed at first instance for want of protectable goodwill within the jurisdiction. The case also failed on appeal. The Supreme Court reaffirmed that mere reputation within the UK was not sufficient. What was required was actual customers within the jurisdiction. Even then, it was not sufficient that there were people within the jurisdiction who were customers of the claimant's service when they went abroad. The claimant needed to show that there were:

people in this jurisdiction who, by *booking with, or purchasing from, an entity in this country*, obtained the right to receive the claimant's service abroad (para 52, emphasis added).

The requisite entity need not be a part or branch of the claimant and could be someone acting on the claimant's behalf.³³

16.16 While clearly established that mere reputation in the UK is insufficient, the insistence on the 'direct bookings' test is unfortunate given developments in cross-border e-commerce.³⁴

England and Scotland

16.17 Since England and Scotland are independent legal systems the problem of foreign goodwill takes on a particular character in this context. In *Flaxcell v Freedman*³⁵ a London trader using the name 'Dirty Dick's' was held entitled to interdict a Glasgow trader from trading as 'Dicky Dirts' as there was mail order business in Scotland for the London company. In *Pegasus Security Ltd v Gilbert*³⁶ an English company commencing business in Scotland obtained interim interdict against an existing Scottish business which had been using a similar name. In both cases it was established that the English trader had goodwill in Scotland despite not having an actual place of business there.

Regional or local goodwill

16.18 Just as goodwill may cross national boundaries, so it may not extend over the whole country but instead be confined to a particular locality. Protection in such cases may also be confined to the locality in question, so that another trader may set up in another area using the same badges of identity as the first. In *Chelsea Man Menswear Ltd v Chelsea Girl Ltd*³⁷ the plaintiffs' operations were local in character but they were nonetheless granted an injunction covering the whole country. There are other cases, however, where only restricted injunctions were obtained³⁸ or the passing off claim failed altogether on the basis that the goodwill

of the trader was purely local.³⁹ The question of what constitutes an appropriate case is difficult, however. A business which can only offer services at a fixed location, such as a hotel, club, or restaurant, can nonetheless develop widespread goodwill as the result of passing custom, although its existence may be difficult to prove or disprove.

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Key points on goodwill

- Goodwill is about bringing in customers, and it must be distinguished from mere reputation.
- Although commerce is increasingly international, a foreign trader must have actual goodwill, rather than mere reputation, in the UK to pursue an action for passing off.
- Goodwill may be regional or local in character.

Product goodwill: extended passing off

16.19 The classical definitions of goodwill as the attractive force which brings in custom do not refer directly to what has been termed ‘product goodwill’; that is, *the reputation which a class of product has, as distinct from its manufacturer or seller*. Passing off nevertheless now protects goodwill of this kind, by finding that certain classes of products sold by reference to a particular name or identifier are associated with particular characteristics in the marketplace, which are the reason why they are purchased. This goodwill will be damaged if products without these characteristics can be marketed under the same name or identifier.⁴⁰ But the goodwill in such cases, unlike that protected by classical passing off, is not limited to one trader; instead it is shared by all who produce goods having the characteristics in question, and all have the right to claim passing off protection. Because the protection reaches further in this way, this is often known as ‘extended passing off’. It is to this form of passing off that the definitions of Lords Diplock and Fraser in the *Advocaat* case, quoted at para 16.10, are now typically applied.

Question

How does our previous definition of goodwill (para 16.13) now need to be revised?

Examples of product goodwill recognised by the courts in extended passing off actions include the following:

(1) Champagne

The region in which the Champagne vineyards are found is about 100 miles east of Paris around Rheims and Epernay, where there is a chalky, flinty soil and the climate is subject to extreme variations of heat and cold.

It appears that these factors give to the wine its particular qualities ... [S]ince 1927 the Champagne Viticole district has been strictly limited by [French] law, and only certain vineyards are allowed in France to use the name 'champagne' ... The wine is naturally sparkling wine made from grapes produced in the Champagne district by a process of double fermentation which requires a considerable amount of care ... [I]n the UK ... champagne is a wine specially associated with occasions of celebration so that (in addition to sales to persons who regularly buy wine), it is purchased on such occasions from time to time by many persons who are not in the habit of buying wine for consumption and are not educated in the nature or qualities of different kinds of wine.

(*Bollinger v Costa Brava Wine Co Ltd* [1961] 1 WLR 277 per Danckwerts J at 281–82)

(2) Scotch whisky

'Scotch whisky' as a description has obtained a particular standing ... It may only be applied to a spirit distilled in Scotland from a mash of cereal grain saccharified by the diastase of malt. To such a spirit ↵ many individual brand names are applied but, irrespective of that, all producers satisfying the conditions applicable are entitled to describe their product as 'Scotch whisky' and to take action to protect the advantages conferred by such a right from improper use of that trade description.

(*John Walker & Sons v Douglas McGibbon* 1972 SLT 128 per Lord Avonside at 128)⁴¹

(3) Harris Tweed

Harris Tweed means a Tweed made from pure virgin wool produced in Scotland, spun, dyed and finished in the Outer Hebrides and handwoven by the Islanders at their own homes in the Islands of Lewis, Harris, Uist, Barra, and their several purtenances and all known as the Outer Hebrides.

(Harris Tweed Association 1934 definition of Harris Tweed, approved in *Argyllshire Weavers Ltd v A Macaulay Tweeds Ltd* 1965 SLT 21 per Lord Hunter at 33)

(4) Advocaat

The composition of Dutch advocaat (and therefore, in effect, of all the advocaat sold in England) is regulated by Dutch law and consists of hens' eggs, sugar flavouring and spirit. The spirit used is called in Dutch 'brandewijn'. Brandewijn is ethyl alcohol derived from grain or molasses. It is not the same as brandy which, at least in modern English usage, means a spirit derived from grapes.

(*Erven Warnink BV v J Townend & Sons (Hull) Ltd* [1979] AC 731 per Lord Fraser at 749)

(5) Swiss chocolate

The term 'Swiss chocolate' is the designation which has been used, save for very minor exceptions, only on chocolate made in Switzerland in accordance with Swiss food regulations. Subject to the restrictions imposed by these regulations, those chocolates have been made to very different recipes. They taste different from each other and are no doubt of different qualities inter se. Notwithstanding these differences, together they have acquired a reputation for quality.

(*Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury Ltd* [1998] RPC 117 per Laddie J at 135; aff'd [1999] RPC 826)

(6) Vodka

Vodka has, on the judge's findings in this case, become known and recognised for its distinctive qualities as a particular kind of alcoholic drink. Why then, one asks, should it not be entitled to the same protection as champagne given that it satisfies the criteria which the House of Lords has laid down in *ADVOCAAT*?

(*Diageo North America Inc v Intercontinental Brands (UCB) Ltd* [2011] RPC 2 per Patten LJ at para 52; aff'g *Diageo North America Inc v Intercontinental Brands (UCB) Ltd* [2010] RPC 12)

(7) Greek yoghurt

FAGE's pleaded case was that all, or substantially all, of the yoghurt products sold in the UK since 1983 under or by reference to the phrase Greek yoghurt had complied with the following criteria: i. they were made in Greece; ii. they were made using a traditional Greek process whereby cows' milk is strained so as to remove the watery whey; iii. they contained no added sugar, sweeteners, non-milk thickeners or other additives ... (para 19);

I believe that the class of traders of whose products the phrase Greek yoghurt has become distinctive has been defined with reasonable precision. It comprises all those traders whose yoghurt is made in Greece according to the specification set out at [19] above (para 75)

(*FAGE UK Ltd v Chobani UK Ltd* [2014] ETMR 26 per Kitchen LJ (CA, affirming first instance decision))

p. 666 ↩ **16.20** In the *Chocosuisse* case, Laddie J pointed out that the protection of product goodwill was not available only to 'superior' products.⁴² What mattered was the public's perception of a distinctive characteristic or characteristics to the product. This was upheld by the Court of Appeal in the *Diageo Vodka* case (para 16.19).

Discussion point

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Can you think of any other classes of product on the market in which the goodwill attaches to the product, whoever and no matter how many, manufacture it?

Key points on product goodwill

- Some classes of product may enjoy goodwill in their own right, as possessing certain characteristics no matter which trader produces and sells them.
- Goodwill in a product's class name can be protected by passing off actions even though it does not belong to any one trader and is instead shared by many.

Other types of shared goodwill: (1) groups of companies

16.21 Issues about the possibility of shared goodwill may arise in contexts other than those of product goodwill. In *Habib Bank Ltd v Habib Bank AG Zurich*,⁴³ it was held that the English subsidiary of a multinational group of companies had the exclusive rights in England to the goodwill in the group's 'Habib' name, so that when it became independent it was able to sue its former holding company for passing off when the latter used the 'Habib' name in England. Similarly, in *Scandecor Development v Scandecor Marketing*,⁴⁴ the UK subsidiary of an international business originating from Sweden was held to own exclusive goodwill in England in the name 'Scandecor', so that it was able to resist successfully an attempt to stop it doing so by the company which had taken over the holding company in Sweden.⁴⁵

Other types of shared goodwill: (2) franchises

16.22 Franchising operations, under which a franchisor licenses other traders (franchisees) to make use of particular formats under which to do business—for example, in restaurants and dry-cleaning—present similar problems. Clearly the initial goodwill is that of the franchisor, but a successful franchisee (which will be a legally independent undertaking) may be able to generate further goodwill at their particular outlet. Does that goodwill belong to the franchisor, the franchisee, or to both of them, and can it be protected by an action for passing off? It is suggested that in general in the absence of contractual agreement to the contrary the franchisor is the owner of the goodwill. Such case law as there is on conflicts between franchisor and franchisee has held for the former's right to sue the latter for passing off when the licensee attempts to break away and trade independently under the same indicia.⁴⁶ A particular problem is where a foreign franchisor seeks to grant franchises within a particular jurisdiction, but finds that the name or other indicia which constitute the franchise have already been appropriated by someone in that market. A number of cases where the franchisor's action has failed illustrate the point that goodwill, not just mere reputation, is required to found an action of passing off.⁴⁷

Key point on shared goodwill

- In certain circumstances the action of passing off can be used to protect goodwill which is shared by a number of different persons (eg groups of companies).

Focusing the goodwill: protectable devices

16.23 Traders turn customer satisfaction with their goods and services into repeat business—and so goodwill—by enabling the customer to recognise the product again, and to distinguish it from competing products by the use of some device in association with the product. The range of devices which the law has been prepared to recognise as constituting badges of identity in the marketplace now stretches very widely, and carries passing off well beyond the scope of traditional trade mark law.⁴⁸ In this section of the chapter, we

consider the range of devices which the law has recognised as badges of identity for the purposes of passing off actions, and some of the rules which limit the scope of the protection offered. In particular, we will consider:

- words (including personal, geographical and business names, titles, and invented words);
- get-up (the packaging or dress in which goods are presented to the public);
- use of personalities and characters; and
- advertising techniques and themes.

Protectable devices: words

16.24 The cases show a series of distinctions which the courts have evolved to enable them to test whether a word or words may be protected by a passing off action. The central issue is the trader's freedom to use the language, in particular to provide the customer with a description of the goods or services being offered. No one should be able to claim an exclusive right to use words in use in ordinary English language, unless there is a very good reason (ie deception or confusion of customers) to allow them to do so.⁴⁹

'Invented' or 'fancy' words

16.25 Invented or fancy words are much easier to protect by means of the action of passing off because it is more likely that such words will be distinctive of the party making the claim—they can be contrasted with words already established in the English language. Examples of invented words are Kodak, FiloFax, Linoleum, and Adidas.

p. 668 Descriptive or self-laudatory words with secondary meaning

16.26 This covers merely descriptive or self-laudatory words, giving rise to no rights of exclusive use, and those which, although descriptive, have acquired a secondary meaning through use, whereby they serve to distinguish the goods or services of a particular trader in the market and whose use by others may as a result constitute passing off.

Examples of descriptive words acquiring secondary meanings:

- Camel hair (for belts) in *Reddaway v Banham* [1896] AC 199;
- Special Brew (for beer) in *Carlsberg v Tennant Caledonian Breweries Ltd* [1972] RPC 847;
- Mothercare (shop and clothing for expectant mothers and young children) in *Mothercare v Penguin Books* [1988] RPC 113;
- The Ukulele Orchestra of Great Britain (for a group of ukulele-playing musicians) in *The Ukulele Orchestra of Great Britain v Erwin Clausen & Yellow Promotion GmbH & Co Kg (t/a the United Kingdom Ukulele Orchestra)* [2015] ETMR 40.

Contrast:

- Oven chips (to be oven-cooked rather than fried) in *McCain International v County Fair Foods* [1981] RPC 69 which, having been marketed as ‘McCain Oven Chips’, had not acquired secondary meaning.

For an example of descriptive words without secondary meaning, consider ‘Office Cleaning Services’ as the name of a company providing office cleaning services (*Office Cleaning Services Ltd v Westminster Window and General Cleaning Cleaners Ltd* (1946) 63 RPC 39). Where words are merely laudatory, however, it may be extremely difficult to show that any secondary meaning has arisen.

Personal and geographical names

16.27 In general, no one can claim an exclusive right in personal and geographical names but, again, a particular name (including a surname, nickname, or an assumed name) or a geographical location or descriptor may, like ordinarily descriptive words, acquire a secondary meaning through use in a particular trading context. The name adopted does not have to be the name of a person concerned with the business in order to gain protection, and its scope may extend to the names of fictional characters, although the scope of this protection is unclear.

Examples of personal and geographical names acquiring secondary meaning:

- Grant in *William Grant & Sons Ltd v Glen Catrine Bonded Warehouse Ltd* 2001 SC 901 (whisky, vodka, gin);
- any number of distillery locations, all in the context of whisky (see, eg, *Highland Distilleries Co plc v Speymalt Whisky Distributors Ltd* 1985 SC 1 (Bunnahabhain, Islay); *William Grant & Sons Ltd v William Cadenhead Ltd* 1985 SC 121 (Glenfiddich);
- Swiss in the context of chocolate in *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury Ltd* [1998] RPC 117;
- Greek in the context of yoghurt in *FAGE UK Ltd v Chobani UK Ltd* [2014] ETMR 26;
- Alyssa in the context of a number of signs relating to jewellery in *Alyssa Smith Jewellery Limited v Alisa Goodstone (t/a Alyssa Jewellery Design)* [2021] EWHC 1482.

p. 669 Titles

16.28 Titles, whether of books, TV and radio programmes, newspapers, magazines, or websites, may again often consist of words and names in use in ordinary language all the time. But if it can be shown that distinctiveness has been acquired in the marketplace, then exclusive rights may be asserted by way of passing off.

Examples of protected titles:

- The Times newspaper in *Walter v Ashton* [1902] 2 Ch 282 (the newspaper could stop sales of Times bicycles);
- EastEnders TV programme (*BBC v Celebrity Centre* (1988) 15 IPR 333—an injunction granted to stop a book entitled *A to Z of East Enders*).

Contrast:

- *GTG Sports Publications Ltd v Fitness Shop (Publications) Ltd* 1983 SC 115 (magazines on Scottish rugby: the title *Scottish Rugby* held not distinctive, being merely descriptive of the magazine contents, and so *Rugby Scotland* could not be stopped).

Note also cases about English newspapers adopting the titles of Scottish ones. In the two leading cases the English courts refused to grant injunctions to the Scottish plaintiffs on the grounds of lack of confusion between the newspapers concerned (*George Outram & Co v London Evening Newspapers*⁵⁰—*Evening Times* in Glasgow and London; *DC Thomson & Co v Kent Messenger*⁵¹—*Sunday Post* in Scotland and south-east England).

Business names

16.29 Business names may often consist of personal names, descriptive words, or invented words, or some combination of these. Again, if distinctiveness in the marketplace is achieved, then the name may be protected by way of passing off. The cases illustrate this with regard to clubs, hotels, restaurants, professional associations, and musical bands, as well as those of partnerships and companies.

Examples of distinctive business names:

- Annabel's in *Annabels v Shock* [1972] RPC 838 (club);
- The Drifters in *Treadwell's Drifters Inc v RCL Ltd* 1996 SLT 1048 (musical group);
- Radio Rentals in *Radio Rentals Ltd v Rentals Ltd* (1934) 51 RPC 407 (shop/supplier);
- Claridge's in *Claridge's Hotel Ltd v Claridge Candles Ltd* [2019] ETMR 54 (hotel).

But it may be very difficult to show distinctiveness in certain words in certain contexts: for example, 'International' in the case of hotels (*Park Court Hotel Ltd v Trans-World Hotels Ltd*⁵²) or 'Salon Service' for hairdressing supplies (*Salon Services (Hairdressing Supplies) Ltd v Direct Salon Services Ltd*⁵³).

Abbreviations and combinations of letters and numbers

16.30 If ordinary words might be thought normally open for use by all, this is even more so for the individual letters which go to make them up; and also numerals. But in a world where acronyms and abbreviations or combinations of letters and numbers are ever important badges of identity, passing off can be used to protect such identifiers if they have become distinctive.

p. 670 ↵ Examples of distinctive abbreviations, initials, and numerals:

- CA in *Society of Accountants in Edinburgh v Corporation of Accountants* (1893) 20R 750;
- BMA in *British Medical Association v Marsh* (1931) 48 RPC 565.

But not: FCUK in *French Connection v Sutton* [2000] ETMR 341.

16.31 What appears to be most important overall, therefore, is the creation or acquisition of distinctiveness in the marketplace of a word or combination of words (or letters and numerals). But the distinctiveness thus created or acquired can also be lost.⁵⁴ So a trader who invents a word for a product will have to be vigilant to prevent its use by other traders for similar products, since if this is not stopped the word will cease to be distinctive of the original product and become a *generic* term for all products of that particular kind. A well-known example is the word ‘Linoleum’ for a certain type of floor-covering, originally manufactured under a patent and using the name Linoleum by the patent holder alone. But once the patent had expired, other manufacturers moved into the market, also using the name Linoleum. The former patent holder’s attempt to stop this was unsuccessful, on the grounds that the word had become a generic term for floor-covering of this type, and had ceased to be distinctive of the original manufacturer.⁵⁵

Question

Explain how an initially distinctive product name may become ‘generic’. How can passing off actions help to prevent this?

16.32 On the other hand, in many extended passing off cases, initially descriptive words came once again to indicate goods of a particular quality or set of characteristics in that context, so many traders making goods of that quality or with those characteristics could use the name without it necessarily losing its secondary and distinctive meaning.⁵⁶

Key points about descriptive words and secondary meanings

- The use of ordinary words in the English language as part of a business identity can become associated with a particular trader in the marketplace, so that exclusive use can be claimed by way of the action for passing off. The words are then said to have acquired a ‘secondary meaning’.
- Just as words can acquire a secondary meaning, so they can lose it if the trader fails to defend its exclusivity in the marketplace.
- Even invented words can become generic—that is, descriptive of all goods or services of a particular kind—if their exclusivity is not defended quickly enough.

Protectable devices: get-up

16.33 Get-up is ‘the dress in which the goods are offered to the public’.⁵⁷ If distinctive of the goods, a feature by which customers distinguish the product from those of competitors, it may be protected by an action of passing off. Get-up will usually be the packaging of the goods, either in whole or in part.

p. 671 ↵ Some examples are as follows:

(1) The whole packaging such as:

- the Coca-Cola or the Haig 'Dimple' bottles in *Coca Cola v Barr* [1961] RPC 387; *John Haig & Co v Forth Blending Co* 1954 SC 35;
- the lemon-shaped container of lemon juice in *Reckitt & Colman Products v Borden Inc* [1990] 1 WLR 491.

(2) Some feature of the packaging:

- multiple colours in *Hoffmann-La Roche v DDSA* [1969] FSR 410 (black and green colours of Librium capsules);
- stylised typeface of writing appearing on the goods in *Carrick Jewellery Ltd v Ortak* 1989 GWD 35–1624;
- the combination of some features of a vacuum cleaner, the name 'Henry', black bowler hat top, smiley face, and nose of hole for hose in *Numatic International Ltd v Qualtex UK Ltd* [2010] RPC 25.

Contrast:

- single colour shades in *Glaxo Wellcome UK Ltd v Sandoz Ltd* [2019] RPC 7 (purple for asthma inhalers was not distinctive).⁵⁸

However, the shape of the product itself generally cannot be a badge of identity and goodwill, although some part thereof may be. An example of a product shape denied protection was Cadbury's chocolate flake in *Cadbury Ltd v Ulmer GmbH*.⁵⁹ A similar attempt—to protect the shape of kitchen measuring cups—also failed in *George East Housewares Ltd v Fackelmann GmbH & Co KG*.⁶⁰ It remains possible but difficult to sustain an action in passing off based solely on the get-up of a product.⁶¹ It is also possible for a passing off action to fail because the get-up is common in the relevant trade.⁶²

Exercise

Consider the distinction between 'get-up' and the shape of the product in the light of the cases where a container gives shape to an otherwise formless product, as in the drinks and lemon juice decisions. See the comments of Lord Oliver in *Reckitt & Colman Products v Borden Inc* [1990] 1 WLR 491 at 503. Consider also that three-dimensional items, like the Coca-Cola bottle, could not be protected under the UK Trade Marks Act 1938, although they can be protected under the UK TMA 1994 (see para 14.10). How does this influence your view of the cases?

Key points about get-up

- Passing off will protect distinctive packaging, or distinctive aspects of the packaging, of goods.
- But the shape of the product itself cannot generally be a basis for a claim, although some distinctive part of the product may be.

p. 672 ↵ **16.34** Features of the way in which goods or services are offered to the public, other than packaging or shape, could be protected by the action of passing off: for example, the ambience or decor of a restaurant,⁶³ or the nature of 'back-up' services offered by authorised dealers in the goods of particular manufacturers,⁶⁴ or the conduct of business over the internet in a particular format and style.⁶⁵ The smell of a fine fragrance has been held not to form part of its goodwill protectable by passing off. In the Court of Appeal in that case, Jacob LJ said that a fragrance might be a source of goodwill, 'but that does not mean that anyone who seeks to emulate the fragrance is guilty of any wrong'.⁶⁶

■ *easyJet v Dainty* [2002] FSR 6

In this case, the judge (at 114) described how easyJet and the other 'easy-' businesses presented their image:

I have talked already about the distinctive livery and logo or get-up which applies to the business and it can be described in words to those who are not familiar with it as portraying the following distinctive combination of features. First of all, the name 'easy' together with another word which alludes to the service in question being offered, so as to form one new word, such as the word 'easyJet' in the case of the airline, or 'easyRentacar' in the case of the third claimant. Secondly, the word 'easy' in this formulation is in lower case in the case of every one of the uses of the combination. Thirdly, in every combination the first letter of the second word is displayed as a capital letter so that easyJet has a capital J, easyEverything a capital E and easyRentacar a capital R. Fourthly, in every case the get-up is against a bright orange background with plain white lettering except on occasions where the colouring is reversed so that the background is white and the lettering is in the same distinctive orange colour, as has usually been associated with the product in question ... [O]ne of the distinctive features is that business is either with, to do with, or conducted over the Internet so that the evidence suggests something of the order of 75, sometimes 81% of bookings on an individual day might be done and conducted over the Internet, ... But it is a highly Internet organised business and this is a matter which also needs to be taken into account.

Key point on business image

- Passing off can protect the equivalent of ‘get-up’ for services, the image of a business.

Advertising themes and techniques

16.35 In *Cadbury Schweppes Pty Ltd v Pub Squash Co Pty Ltd*⁶⁷ Cadbury marketed their non-alcoholic soft drink ‘Solo’ in Australia showing dynamic young men quenching the thirst arising from their activities by drinking ‘Solo’. Pub Squash began to market their rival soft drink product with a similar campaign. Cadbury’s claim that this was passing off was rejected by the Privy Council because the original advertising campaign had not achieved exclusive goodwill for them. But Lord Scarman stated one effect of the *Advocaat* case as follows:⁶⁸

[T]he tort is no longer anchored, as in its early nineteenth century formulation, to the name or trade mark of a product or business. It is wide enough to encompass other descriptive material, such as slogans or visual images, which radio, television or newspaper advertising campaigns can lead the market to associate with a plaintiff’s product, provided always that such descriptive material has become part of the goodwill of the product. And the test is whether the product has derived from the advertising a distinctive character which the market recognises.

p. 673

Key point on advertising themes

- The *Pub Squash* case recognises the possibility of an advertising theme or slogan, being part of the image of a business, protectable by way of passing off.

Misrepresentation

16.36 Passing off provides a remedy for *misrepresentation*, appropriating, or otherwise diminishing the goodwill of another trader. A misrepresentation is a false statement of fact. In passing off, the false representation is that the goods or services in which the defendant trades are those of the claimant, or in some way have a business connection with the claimant, or have the particular qualities of the claimant’s goods or services. It is comparatively easy to determine that this is what the defendant has done when using exactly the same device as the claimant in connection with an identical or similar product,⁶⁹ or even a similar name,⁷⁰ but even there it must be clear that the claimant’s goodwill will be damaged. Yet even when the defendant has copied the claimant’s badge of identity, passing off will not provide a remedy unless the latter’s goodwill has been damaged.⁷¹

■ *Mothercare UK Ltd v Penguin Books Ltd* [1988] RPC 113 (CA)

The claimant, a well-known retailer of goods for expectant mothers, babies, and young children, failed to establish that the use of the phrase 'Mother Care' in the title of a controversial book would lead the public to take the book as a publication of the retailer.

Question

What is the typical misrepresentation in a passing off case?

16.37 Generally, the representation is of a more subtle kind than exact reproduction of a badge of identity, with either the nature of the defendant's statement, or the nature of the goods or services provided by the defendant, or the way in which the defendant conducts themselves in relation to the goods and services, or some combination of these things,⁷² being different in some way from that of the claimant. The key factor is the way in which the market reacts to the defendant's activities. It must be shown that there has been, or that there is likely to be, confusion about the existence of a trading link between the defendant's product and the claimant as a result of what the defendant has done. In approaching this question, it is important to remember that the confused public need not be aware of the claimant's actual identity (see para 16.13). The simple existence of consumer confusion does not itself equate to misrepresentation.⁷³

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■ *United Biscuits (UK) Ltd v Asda Stores Ltd* [1997] RPC 513

Asda began to market 'Puffin' biscuits to compete with United Biscuits' 'Penguin' biscuits. Asda were careful to design their packaging to avoid deception of customers, but at the same time sought to match, or challenge, or parody, the 'Penguin' style, using the image of the puffin and the name in black lettering alongside on the packaging, as well as similar colours and wrapping materials. See the report at 516 for colour images of the competing wrappers. It was held that there was passing off, in that customers might be led by the similarities of get-up to suppose that the two biscuits came from the same manufacturing source.

16.38 The courts have adopted an increasingly broad approach to what kinds of misrepresentation constitute passing off, although a narrower approach in a situation akin to 'Puffin/Penguin' was taken in *Mars UK Ltd v Burgess Group plc*.⁷⁴ This involved advertisements for cat food, and greater regard was had to differences in colour and packaging.⁷⁵

■ *Associated Newspapers plc v Insert Media Ltd* [1991] FSR 380

A business which inserted advertising material between the pages of national newspapers without the authority of the newspaper publishers was held to misrepresent that such authority had been obtained.

■ *British Sky Broadcasting Group plc v Sky Home Services Ltd* [2007] FSR 14

The claimant BSB provided extended warranty services under the name 'Sky Repair Protection Plan' in respect of satellite broadcast reception equipment on which its Sky satellite broadcasts were viewed. The defendant SHS also marketed and supplied extended warranty contracts using corporate names, including the word 'Sky' or confusingly similar words. It was held that there was passing off by way of implied misrepresentations, including failure of the SHS salesforce to correct the misapprehensions held by customers as to their links with BSB. BSB had held a *de facto* monopoly in their services and, in entering such a market, SHS had a duty to take care that their marketing methods did not convey the implicit message of a connection with the existing monopolist.

■ *National Guild of Removers and Storers Ltd v Bee Moved Ltd* [2018] EWCA Civ 1302

The claimant NGR, a trade association, was partially successful against BM, who included in an advertisement for removal services a moving checklist that included the phrase 'use a removal company who is a member of the National Guild of Removers and Storers'. The implication was that BM was a member of NGR and this was held to be passing off at first instance.⁷⁶ BM was not liable for the use of the phrase 'Member of the NGRS', which appeared briefly in an advertisement on a website that had been made by a third party: this was confirmed on appeal.

16.39 It is no longer the law that the misrepresentation should have been fraudulent. In England, once passing off was explained as a protection of property in goodwill, the importance of fraud waned as an element in the action, although it is still occasionally mentioned. Fraud was never important in Scotland. Intention to deceive may make proof of confusion and damage to goodwill easier, but intention not to deceive, as in the 'Puffin/Penguin' case (para 16.37), will not prevent a successful action of passing off if, nevertheless, customers are confused and the misrepresentation is shown to be deceptive. This is the case even if the deception was not deliberate.⁷⁷

p. 675 ↩ **16.40** This will, of course, very much depend on the facts of the case; the intention of the trader, even a decision to 'live dangerously' will not necessarily lead to a finding of passing off. Issues can arise in particular from different perspectives; for example, a decision by a marketing department to try to work alongside, while still within the law, the product, service, or advertising campaign, say, of another or to bring another trader's product to mind without going so far as to cause confusion.⁷⁸

Consider the following cases.

■ *Moroccanoil Israel Ltd v Aldi Stores Ltd* [2014] EWHC 1686 (IPEC)

The claimant manufactured and sold a hair care product called 'Moroccanoil', containing argan oil. The claimant's product was sold in a brown bottle bearing a turquoise label with white and orange text, packaged in a turquoise box also bearing white and orange text. A supermarket chain, A, launched their own hair care product called 'Miracle Oil', also containing argan oil. A's product was sold in a brown bottle bearing a turquoise label with white, orange and black text, packaged in a turquoise box also bearing white, orange, and black text. The court rejected the argument that the name and get-up of A's product in combination constituted passing off. Although A's product might bring to mind the claimant's product that was not sufficient. This was not affected by evidence that A were intentionally 'living dangerously':

I do not think there was anything unlawful in Aldi creating a product with get-up which brought the get-up of Moroccanoil to mind. I think Aldi intended to do so and succeeded, to the point that some of the public interested in hair oil thought that the similarities were cheeky and might infringe rights relating to design. That is not passing off. So living dangerously in that regard is not relevant (para 57).

The second issue is the use of descriptive words or geographical and personal names. With regard to the use of one's own name in relation to one's business, it is no longer (if it ever was) the law that there is a right to use one's own name which can be used to fend off a claim of passing off: 'a man is entitled to carry on his business in his own name so long as he does not do anything more than that to cause confusion with the business of another, and so long as he does it honestly'.⁷⁹

Again, the claimant will have a remedy if the defendant's statement falsely suggests a trading connection between them, even if in other respects the defendant's statement is a true description of their goods or services.

■ *Dunlop Pneumatic Tyre Co v Dunlop Motor Co 1907 SC (HL) 15*

The Court of Session and the House of Lords agreed that car dealers were entitled to use their surnames as a business name, even though it was already the company name of the tyre manufacturer claimants.

■ *Parker-Knoll Ltd v Knoll International Ltd [1962] RPC 265 (HL)*

Parker-Knoll, manufacturers of furniture, became so named after the English company Parker & Sons purchased a springing system for chairs invented by Wilhelm Knoll. Wilhelm's nephew, Hans Knoll, developed Knoll International as an international furniture business from the United States, and sought to enter the UK market. It was held that Knoll International could not enter the UK furniture market using the word 'Knoll', even though it was the personal name of their founder. A name may be used as a mark under which a person's goods are sold so that the name comes to mean goods sold by that person and not those of anyone else, even when that other has the same name.

■ *BIBA Group v Biba Boutique [1980] RPC 143*

An individual may not be free to use her nickname if that name is already associated in the public mind with an existing trader.

■ *John Haig & Co Ltd v John D D Haig Ltd 1957 SLT (Notes) 36*

A man may be unable to give his name to his company if that name is already associated in the public mind with an existing trader in a relevant market. Here the new trader manufactured whisky liqueur chocolates, which was too close to the existing trader's whisky business.

Question

To what extent may a trader use their own name in business?

Key points on misrepresentation

- The misrepresentation is a statement that the goods or services in which the defendant trades are those of, or have a business connection with, the claimant, or have the particular qualities of the claimant's goods or services.
- The misrepresentation must have damaged the claimant's goodwill by causing confusion in the marketplace for the goods or services.
- The misrepresentation need not have been fraudulent.
- Traders are not entitled to use descriptive terms or their personal names as those of their businesses if that would cause confusion with another's business.

Discussion point

For answer guidance visit www.oup.com/he/brown6e <<https://iws.oupsupport.com/ebook/access/content/brown6e-student-resources/brown6e-chapter-16-guidance-on-answering-the-discussion-points?options=showName>>.

Review the range of findings of misrepresentation in *Westwood v Knight* [2011] EWPC 8 at paras 157–58, 168, 190–91, 200, 202, 204, 212, and 220–21, and the findings regarding Knight's conduct, paras 222–26.

Is this what you would have expected given the cases discussed previously? Compare *Specsavers International Healthcare Ltd v Asda Stores Ltd* [2011] FSR 1 at paras 190–92.

Confusion and misrepresentation

p. 677 **16.41** Confusion amongst the public as to the source of the goods or services, or as to their qualities in appropriate cases, is at the heart of passing off. The key factor is the way in which the market reacts to the defendant's activities. It must be shown that there has been, or that there is likely to be, confusion about the existence of a trading link between the defendant's product and the claimant as a result of what the defendant has done. It is not necessary that the whole of the public is confused, while it is not fatal to a claim that many members—even the majority⁸⁰—of the public are not confused by the defendant's conduct. What matters is that there is, or there is likely to be, confusion amongst significant numbers of the public in the market where the parties operate.⁸¹ Intention is again not required, but if there is a decision to 'live dangerously' this can form part of the analysis of the likely response of consumers.⁸²

■ *Clark v Associated Newspapers* [1998] 1 All ER 959

The London Evening *Standard* carried a weekly parody of the diaries of Alan Clark, a well-known Conservative MP. The articles were entitled 'Alan Clark's Secret Political Diaries'. Each article had a photograph of Clark and a byline indicating that it was in fact written by a journalist imagining how Clark would be recording events. It was held that this was passing off even though many readers would not be misled; but as an evening paper read by commuters on their homeward journeys, a substantial number would be confused, and that was enough. See also para 6.17 on moral rights and para 18.49 regarding personality aspects of this case.

■ *FAGE UK Ltd v Chobani UK Ltd* [2013] ETMR 28 (aff'd [2014] ETMR 26)

The defendants had introduced onto the UK market a product described as Greek yoghurt but manufactured in the United States. At first instance, the judge held that it was sufficient that a 'substantial proportion' of purchasers of UK Greek yoghurt (on the facts, probably in excess of 50 per cent of such purchasers) thought that 'Greek yoghurt' was made in Greece, even though that was only 'a modest proportion' of yoghurt eaters in the UK as a whole (para 133). That was sufficient also for there to be an actionable misrepresentation:

if a sufficient goodwill is shown to be attached to the phrase Greek yoghurt among customers who believe that it is made in Greece, and that this matters to them, then the use of Greek yoghurt to describe yoghurt not made in Greece plainly involves a material misrepresentation. It is a misrepresentation to all those who think that Greek yoghurt is made in Greece. It is a material misrepresentation to those who think that, and consider that it matters to them (para 136).

16.42 It is permissible to lead evidence that members of the public have been confused. So, for example, in *Great North of Scotland Railway Co v Mann*,⁸³ which concerned the names of hotels, there was evidence that customers seeking one hotel had been taken to the other. In *Chill Foods (Scotland) Ltd v Cool Foods Ltd*⁸⁴ a letter from a supplier was used as evidence that there was confusion between the parties as a result of their similar trading names. In *Phones 4U Ltd v Phone4U.co.uk Internet Ltd*⁸⁵ emails from customers to the defendant's website showed that these people thought they were communicating with the claimant's business, even after visiting the website. A systematic survey of the public may be used as evidence of the confusion caused by the defendant's activities,⁸⁶ but will often be subject to methodological challenge, since it is usually produced at the behest of one or other of the contending parties.

■ *Glaxo Wellcome UK Ltd v Sandoz Ltd* [2019] RPC 27

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G produced inhalers suitable for the treatment of conditions such as asthma. The inhalers, which contained salmeterol and fluticasone, were sold in two purple shades which reflected the amount of fluticasone that would be inhaled by the patient. The packaging for the inhalers was also purple. The defendants (S) began to market an inhaler containing salmeterol and fluticasone. The inhaler and the packaging were both purple. ↵ The names of the inhalers were different. G alleged that the get-up of S's inhalers constituted passing off because S, in using purple, were indicating that their inhaler came from G and/or that the inhaler was equivalent to G's. G provided survey evidence from healthcare professionals and patients but this was rejected due to the methodological shortcomings of the surveys. There was no evidence that purple had become distinctive nor of confusion relating to trade origin amongst patients. The court held that there had been no misrepresentation and the passing off claim failed.

16.43 Where it is averred that the passing off consists of supplying one type of goods when another type has been asked for, the evidence gleaned from placing 'trap orders' may also be accepted by the courts. Expert evidence may also be led to help the court to understand such matters as the nature of the marketplace and the attention which the typical customer gives to aspects of the appearance of a product in that marketplace.⁸⁷ Further, in *Arsenal Football Club plc v Reed*,⁸⁸ which concerned the sale of unlicensed merchandise bearing Arsenal insignia outside the club's ground, Laddie J suggested that the club could have set up a mock stall with the type of products sold only by the defendant and then interviewed customers to find out their motives and beliefs when purchasing Arsenal memorabilia. But the decision on whether or not there is confusion is ultimately for the judge.⁸⁹ In the *Arsenal* case, Laddie J was unwilling to infer confusion in the absence of evidence that it existed, because the defendant had been trading in the way complained of for 30 years, quite openly and extensively.⁹⁰

Question

What level of confusion must be shown for misrepresentation and a claim of passing off to be made out?

16.44 In many cases, the claimant will be seeking to prevent the defendant's activities, not on the basis that the public is already confused, but rather because of concern that the public is *likely* to be confused if the defendant's activities are allowed to continue unchecked. In testing the likelihood of confusion, two points must be borne in mind. One is the conditions in the market where the parties operate: 'Thirsty folk want beer, not explanations.'⁹¹ Accordingly the differences between the devices of claimant and defendant, or any

disclaimers which may be attached to the defendant's product, should only be given the degree of attention which the typical customer would use. However, it is not enough for there to be initial instance confusion if that confusion has been dispelled by the time of purchase.⁹²

If a customer makes an initial false assumption as to a trade connection between the claimant's and defendant's goods but that assumption is dispelled before any purchase is made and as a consequence the claimant suffers no damage, there is no passing off.

■ *Haig & Co v Forth Blending Co* 1954 SC 35

This case concerned the use of 'dimple'-shaped bottles for whisky. The defender's labelling was different from the pursuer's and the bottles were closed with corks rather than patent stoppers. There was little ↵ likelihood of confusion while the bottles remained unopened. But the whisky was sold in pubs, with the bottles open and a pourer attached to the top. With evidence that even barmen might confuse the rival products in the atmosphere of a pub, it was held that the defender's bottle was likely to cause confusion sufficient to amount to passing off.

■ *Reckitt & Coleman Products v Borden Inc* [1990] RPC 341; [1990] 1 WLR 491; [1990] 1 All ER 873

This case concerned the lemon-shaped containers of lemon juice sold typically in supermarkets. The shape, size, and colour of the containers were the same, but the neck-labels on the two products were different, and the word 'Jif' was embossed on the side of the plaintiffs' container. For colour photos of the competing 'lemons', see [1990] RPC 341 at 343. There was evidence that members of the public picking up the defendants' lemon juice from open shelves in supermarkets would think that they were getting Jif lemon juice. The trial judge, Walton J, had said: 'One is typically dealing with a shopper in a supermarket, in something of a hurry, accustomed to selecting between various brands when there is such a choice, but increasingly having to choose in relation to a wide range of items between the supermarket's "own brand" and one other brand, and no more' [1987] FSR 505 at 512. Lord Oliver said: 'The crucial point of reference for the shopper requiring Jif juice is the natural lemon-shape and size which had for many years, with only immaterial exceptions, been utilised solely by the respondents in the context of this particular trade' ([1990] 1 WLR 491 at 503).

16.45 The second point is, however, the consideration that if the defendant's activities would confuse or deceive only 'a very small, unobservant section of society',⁹³ then there is no passing off. The court must adopt the stance of the reasonable person in all the circumstances (personified in one Scottish case as 'the

average citizen of Kilmarnock⁹⁴) and consider the likelihood of the person being confused. But it is important also to remember the diversity of customers in the marketplace, and that reasonableness is not some absolute objective standard in this context.⁹⁵

■ ***Taittinger SA v Allbev Ltd* [1993] FSR 641**

This was a decision about passing off a carbonated, non-alcoholic soft drink as champagne by naming it 'Elderflower Champagne', selling it in outlets which also sold champagne, in bottles of the same shape, size, and colour as champagne, with labels and wired corks like those used for champagne. 'Elderflower Champagne' sold for £2.45 per bottle, while champagne was normally three or four times that amount at the time. It was held that there was passing off. The average person would not be deceived:

But there is another section of the public. There is the simple unworldly man who has in mind a family celebration and knows that champagne is drunk for celebrations. ... Seeing 'Elderflower' on a label with below the word 'Champagne' he may well suppose that he is seeing champagne. Since the simple man I have in mind will know little of champagne prices, he is likely to suppose that he has found champagne at a price of £2.45. I do not mean that I now refer to any majority part of the public or even to any very substantial section of the public, but to my mind there must be many members of the public who would suppose that the defendants' 'Elderflower' is champagne (per Sir Mervyn Davies at 654).

In the Court of Appeal, Peter Gibson LJ quoted this passage and added (at 667): 'It seems to me at least as likely that a not insignificant number of members of the public would think it had some association with champagne, if it was not actually champagne ... [I]t is proper to take into account the ignorant and unwary.'

p. 680 ↩ See also:

■ ***Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury Ltd* [1998] RPC 117**

This was a passing off action by manufacturers of Swiss chocolate against the UK company Cadbury, which was marketing a new chocolate product called 'Swiss Chalet'. It was held that there was sufficient confusion for passing off.

I think it is clear that for many people, including some of those for whom the words Swiss chocolate mean a product of quality from Switzerland, the prominent use of the famous Cadbury name and get up will be enough to prevent them thinking that Swiss Chalet is a Swiss chocolate. Furthermore there are very many for whom the origin or connections of Swiss Chalet will be irrelevant ... Many people, and particularly those who are more observant, would not be confused. For them the words “Swiss Chalet” will signify nothing but a pretty sounding name for a bar of chocolate ... However, I have come to the conclusion that there are some who will be struck by the largest and most prominent word on the defendant’s packaging, namely ‘Swiss’, and think it is a reference to an attribute of the product itself. I think it is likely that some will think that it is an indication that the product is Swiss chocolate ... It is likely that the number who think that will be smaller than the number for whom there will be no confusion but, in my view, it is still likely to be a substantial number (per Laddie J at 143).

In the Court of Appeal, Chadwick LJ said that the conclusion, in the previous paragraph, of Laddie J on the evidence before him ‘cannot be regarded as perverse’.⁹⁶

Key points on confusion

- The confusion required must involve significant numbers of the public in the market where the parties operate.
- Confusion may be shown by a variety of forms of evidence (eg surveys).
- Likelihood of confusion is also a basis for preventive action.
- The court must take account of conditions in the world where the goods or services are bought and sold—pubs, supermarkets, etc.
- The approach should not be from the perspective of the highly observant consumer; the less observant and unwary can be taken into account.

‘Common field of activity’

16.46 It has sometimes been said that there can be no relevant confusion between the parties unless both are trading in a ‘common field of activity’. The phrase was first used by Wynn Parry J in *McCulloch v May*,⁹⁷ to define what he thought was an essential element for a successful passing off action. He went on to hold that, because there was no common field of activity between the radio broadcaster plaintiff (known as Uncle Mac) and the cereal manufacturer defendant, it was not passing off for the latter to use the name of the former’s radio character (Uncle Mac) in connection with his product Puffed Wheat. The concept has been applied in a number of subsequent English cases, notably those relating to character and personality merchandising,

which is considered in more detail in Chapter 18.⁹⁸ But it has also been criticised.⁹⁹ Probably it is best explained in the words of Oliver J in *Lyngstad v Anabas*: ‘not a term of art ... a convenient shorthand term for indicating ... the need for a real possibility of confusion’.¹⁰⁰ This seems to be the present approach of the English courts, and although passing off actions may fail on the factual basis that there has been no confusion between two different types of business, it is clear that a common field of activity between the parties is not an essential element in law.¹⁰¹ It is not referred to as such in the classic definitions of passing off (see paras 16.9–16.11), and indeed appears to have been rejected by Lord Diplock in *Advocaat*.¹⁰²

16.47 The cases which recognise the variety of types of damage which can be done to goodwill apart from deprivation of customers—for instance, association with activities tending to lower a trader’s reputation—provide good examples of situations where there has been no common field of activity.¹⁰³

■ *Lego System A/S v Lego M Lemelstrich Ltd* [1983] FSR 155

A passing off action was successfully brought by a toy manufacturer against the manufacturer of irrigation equipment, concerning the use of the name ‘Lego’. Falconer J held that the Lego name was so well known that even on irrigation equipment it was bound to be associated with the plaintiffs, whose goodwill might be damaged in respect of any move that they might make into the defendants’ line of business. A distinction was drawn between the use of household names and other less well-known names and it was said that with regard to the former the absence of a common field of activity would probably be irrelevant.

16.48 The Scottish courts have not evolved any concept of ‘common field of activity’. There have been cases where the fact that the parties were engaging in different types of business has led the court to hold that there was no passing off.¹⁰⁴ But this has clearly been on the basis that no confusion had been shown, rather than on the assumption that there was a substantive rule precluding the possibility of passing off.

Key point on ‘common field of activity’

- It is not necessary that the parties to a passing off action be in the same field of business.

Deception in foreign markets

16.49 It is possible to sue any party in the UK who is involved as an exporter of the means of practising the deception in the foreign country, such as raw materials, distinctive shapes of bottles, and labels. This follows from *Johnston & Co v Orr-Ewing & Co*,¹⁰⁵ in which the House of Lords held that an exporting business might restrain another from passing off its goods as the plaintiff’s in a foreign market. The wrong lay, not in the actual misrepresentation in the foreign market, but in export of the goods from England, enabling the

p. 682 misrepresentation and deception in the foreign market. This has since been applied in several Scottish and English cases concerning the use of the trade name 'Scotch Whisky' in overseas markets, in which it was held that producers of Scotch whisky were entitled to prevent the export of whisky to be used abroad in the production and sale of blended drinks under the name 'Scotch Whisky'.¹⁰⁶

Can A supply goods which enable B to pass other goods off as C's?

16.50 Despite the case law noted previously on deception in foreign markets, it seems in general not to be passing off for a trader to supply another trader with the means enabling the latter to pass off other goods as those of a third trader. Examples of the situation might include the supply of labels, containers, or raw materials which the second trader requires to pass off their goods. Such supply may be a civil wrong in extreme circumstances, such as where the supplier knew of their customer's intentions or has actively participated in the customer's deceptive marketing; but there is no obligation to ensure that supplies are not used deceptively.¹⁰⁷

Substitution selling as passing off

16.51 The simple case of passing off involves the defendant passing off their own goods and services as those of the claimant. This includes responding to a customer's order for particular goods of another trader by sending one's own, unless the customer is aware of what is done.¹⁰⁸ However, the law also provides a remedy where an intermediary between manufacturer or producer and the ultimate consumer, such as a retailer or publican, is responsible for presenting the goods or services as those of the claimant. It is passing off, for example, to sell beer as Bass when it is not.¹⁰⁹ The problem which a claimant may have to overcome here is the passage of their product name into the language as a generic term for that particular type of goods.¹¹⁰

Key point on substitution selling

- Supplying your own goods in response to an order of another's may be passing off.

Inverse passing off: A passes off B's goods as their own

16.52 English law has had some difficulty with the situation where the defendant, instead of representing their goods or services to be those of another, claims that goods and services in fact produced by another come from him. This may be inverse (or, reverse) passing off.

There is Scottish authority that this kind of inverse passing off is actionable as such.¹¹¹

■ *Lucasfilm Ltd v Ainsworth* [2008] EWHC 1878 (Ch); [2009] FSR 2

For the facts of this case (the ‘Star Wars’ case), see also para 3.68. It illustrates well the distinction between classic and inverse passing off. L relied on the goodwill and reputation generated by the film, asserting that this extended to the business of licensing toys, models, and other goods reproducing facets of the film, including the fictional characters in the film and their costumes. L’s claim in passing off stemmed primarily from publicity on A’s website, which stressed the authenticity of his products (see para 172):

Andrew Ainsworth and Shepperton Design Studios created the original helmets and armour for the greatest sci-fi fantasy film of all time. Now, almost 30 years on and for the FIRST time ever, YOU can own an exclusive 1:1 collectible replica of the original movie helmets. **Made by the original prop-maker from the original moulds.** [The emboldening is in the original.] Produced and endorsed by Andrew Ainsworth at Shepperton Design Studios, these unique props offer collectors a rare opportunity of owning some of the most iconic designs of modern cinema. These unique collectibles are the ONLY helmets ever produced from the original moulds used to create the screen-used helmets

L argued that this would mislead members of the public into thinking that it had licensed or somehow approved the manufacture and sale of the helmets and armour. Furthermore, it was claimed that members of the public would be misled into thinking that A was the creator or designer of the helmets and body armour. Finally, L alleged that A’s claims amounted to inverse passing off because he was passing off L’s work as his own. It was held that A’s website did not either expressly or impliedly suggest that A had the consent of L. References to authenticity were to the products’ fidelity to the original designs. Despite A claiming incorrectly that he had been the original creator of the designs, this did not amount to misrepresentation about licensing. As there was no relevant misrepresentation, the claim in passing off failed. The inverse passing off claim also failed. A had not pretended that L’s goods actually belonged to him, or that the goods he was selling were L’s. His statement as to the origin of the goods was true. Though it was false to state that the creation of the original design was A’s, this did not amount to a misappropriation of L’s goodwill sufficient to satisfy the requirements of a claim of passing off as any misstatement made related only to A himself and not the goods he was selling. Note that this part of the case was not the subject of the appeals which are discussed at paras 9.85 and 9.90.

■ *Bristol Conservatories v Conservatories Custom Built* [1989] RPC 455

The parties each supplied conservatories. CCB's salesmen showed photographs of BC's conservatories to potential customers, inducing them to think that they were CCB products. It was held at first instance that representing another's goods as your own was not passing off; but the decision was reversed in the Court of Appeal: there was passing off, but because CCB were representing that their own products were of the same quality as BC's (see para 16.53), rather than because the photographs showed CCB products.

Question

What is the difference between substitution selling (para 16.51) and 'inverse passing off'?

Is representing another's goods or services as yours passing off? See further on this H Carty, 'Inverse passing off: a suitable addition to passing off?' [1993] EIPR 370.

p. 684 **Passing off one quality of goods or services for another**

16.53 The discussion thus far has been concerned with cases where there were misrepresentations as to the trading source of goods or services. Misrepresentations as to the quality of goods or services may also constitute passing off, even when the trading source is accurately represented.

■ *Spalding v Gamage* (1915) 32 RPC 273 (HL)

The plaintiffs manufactured and sold the 'Improved Sewn Orb' football. The defendants obtained a supply of the plaintiffs' rejected moulded balls, and sold them as 'Improved Sewn Orbs'. The House of Lords held that this was passing off.

16.54 A current problem in this area of passing off concerns *parallel importing*, where goods are sold by the manufacturer under the same trade mark in several countries around the world, and then some sold in one country are imported to another for re-sale there, usually at a price lower than that at which they are sold ordinarily in the importing country. Where there is a difference in quality between the imported and the 'home' goods, the English courts have held that putting the imports on the market may be passing off.¹¹² But where the goods are of the same quality, then it is irrelevant that the imported goods were made by another company in the same group as the company raising the action in this country; no deception as to source or

quality can be said to have occurred.¹¹³ Claims for passing off have also been rejected when products have been re-boxed to comply with regulations for sale in another country, and sold only under a generic name; this was found to be an accurate name and there was no misrepresentation and also no evidence of confusion.¹¹⁴

16.55 It is also possible to pass off services as having qualities which they do not possess. Thus, it is passing off for a retailer to state that they are an authorised dealer in a particular product when they are not and are unable to offer the services which such a dealer should do.¹¹⁵ The quality in question might be that of being connected to or under the control of the claimant, where that party enjoys a good reputation of some kind. Thus the British Legion, a charitable organisation for the benefit of First World War veterans, could prevent a local social club calling itself 'British Legion Club (Street)' when it had no connection with the Legion.¹¹⁶ But the representation must be such as to suggest a connection in which the claimant has responsibility for or control over the quality of what the defendant offers. This can also apply to goods, as the following cases show.

Celebrity endorsement cases are discussed further in Chapter 18.

■ *Harrods Ltd v Harrodian School Ltd* [1996] RPC 697

H, a well-known London department store, sued a school which was operating from a site known as 'The Harrodian Club' (because the store had once run a social club there for its employees under that name). The aim of the action was to stop the school calling itself 'The Harrodian School'. It was held that there was no passing off. Millett LJ said (at 713):

It is not in my opinion sufficient to demonstrate that there must be a connection between the defendant and the plaintiff, if it is not a connection which would lead the public to suppose that the plaintiff has made himself responsible for the quality of the defendant's goods or services. A belief that the plaintiff has sponsored or given financial support to the defendant will not ordinarily give the public that impression.

■ *Arsenal Football Club plc v Reed* [2001] RPC 46

R had sold merchandise outside the Arsenal football club ground for about 30 years. The merchandise bore insignia associating it with the club, such as its name, nickname ('the Gunners'), its crest, and a logo of a cannon. From about 1987 the club began to license traders (but not R) to use these insignia on merchandise, which was then marketed as 'official' club merchandise. The club sued R in passing off to prevent his continued unlicensed operations. It was held by the High Court that there was no passing off. Use of the Arsenal insignia did not carry any message of trade origin. Some fans wanted to purchase only 'official' merchandise, but it did not follow that all Arsenal memorabilia would be

taken by fans to have come from or be licensed by the club. There would have to be something more than the mere use of the insignia to make that statement, and here R actually made clear that his activities were unofficial.¹¹⁷

Discussion point

For answer guidance visit www.oup.com/he/brown6e <<https://iws.oup.support.com/ebook/access/content/brown6e-student-resources/brown6e-chapter-16-guidance-on-answering-the-discussion-points?options=showName>>.

Consider the previous cases in the light of *Irvine v Talksport* [2002] 2 All ER 414 after you have explored paras 18.49ff. Are they mutually consistent?

Key points on misrepresentations about the quality of one's goods or services

- Falsely representing one's goods or services as possessed of qualities associated in the market with another trader may amount to passing off.
- This can include cases where the representation (express or implied) is that the claimant exercises some form of quality control over the defendant's goods or services.

Comparative advertising

16.56 It is generally legitimate for a manufacturer or retailer marketing goods or services to make comparisons of their product with others, or to draw attention to the compatibility of their product with that of another trader, for example as a replacement or an additional part. In no sense is the advertiser stating that their goods come from another trading source. Indeed, the whole purpose of comparative advertising in particular is to differentiate competing products in the public mind.

But if the comparison involves making specific and false claims of equivalent or greater quality for the advertised product, or false denigration of the quality of its rival, then the damage to the competitor's goodwill arising from the misrepresentation may be remedied through a passing off action.

■ *McDonald's Hamburgers Ltd v Burger King UK Ltd* [1986] FSR 45; aff'd on other points [1987] FSR 112

M sold hamburgers called 'Big Macs'. BK advertised their competing product (the 'Whopper'), using the slogan 'It's Not Just Big Mac'. Evidence showed that the public thought this meant that Big Macs were available at BK and that they could go to BK stores for them. It was held that, as the defendant's advertisement ↵ referring to the plaintiff's hamburgers had failed adequately to distinguish the two products from each other, there was passing off. The decision is not so much about false comparisons, however, as about the borderline between comparing products and representing that they come from the same trade source.

p. 686

■ *Kimberly Clark v Fort Sterling* [1997] FSR 877

FS promoted their 'Nouvelle' toilet roll with the phrase, 'Softness guaranteed (or we'll exchange it for Andrex)'. It was held that this was passing off; there was a misrepresentation in that the statement would induce customers to think, wrongly, that Nouvelle was an Andrex brand.

Comparative advertising can also involve trade mark law, see paras 15.13ff.

Professional associations

16.57 Somewhat akin to the cases on misleading representations as to quality of goods and services are the decisions holding that misleading use of initials and letters which indicate membership of professional associations is passing off, for example BMA for the British Medical Association.¹¹⁸ Thus, in Scotland members of the Corporation of Accountants Ltd and the Corporation itself were held not entitled to use the letters 'CA' and 'MCA' as an abbreviation of the qualification to be obtained from the Corporation, since the public associated them with the qualification of the members of the Society of Accountants in Edinburgh.¹¹⁹

Key points on misrepresentations as to quality

- While comparative advertising is generally legitimate, specific and false claims of equivalent or greater quality for one's own goods or services, or false denigration of a competitor's, can be passing off.
- False use in business of initials and letters indicating a status or membership of a professional association is passing off.

Improper use of descriptive class designation: extended passing off

16.58 A very particular type of misrepresentation is found in the ‘product goodwill’ or ‘extended passing off’ cases, where what is protected is the goodwill attached to products of a particular kind rather than to a specific trader (see para 16.19). In such cases, the representation is that the product in question belongs to a particular class of goods, and arises through the use of a name for that class which is recognised by the public as identifying goods of that class and no others. The development of the law began in *Bollinger v Costa Brava Wine Co.*¹²⁰

p. 687

■ *Bollinger v Costa Brava Wine Co* [1960] Ch 262

The producers of champagne sought and obtained an injunction to prevent the defendants from marketing a sparkling wine as ‘Spanish Champagne’. The judge held that the word ‘Champagne’ could be used accurately only of sparkling wines produced in the Champagne region of France and that this was how it had come to be understood in the market. The inaccurate application of the name to a drink which lacked the necessary characteristics was therefore a misrepresentation which injured the goodwill of the genuine trader, and so constituted passing off.

Bollinger was approved and applied in a number of subsequent cases: for example, regarding the use of ‘Sherry’,¹²¹ and ‘Scotch whisky’,¹²² as well as further cases on ‘Champagne’.¹²³ In *Argyllshire Weavers v Macaulay Tweeds*,¹²⁴ it was held that mill-spun tweed could not be marketed as Harris tweed. Full confirmation of *Bollinger*’s place in the law was finally given by the House of Lords in *Erven Warnink v Townend* (the ‘Advocaat’ case).¹²⁵

■ *Erven Warnink v Townend* [1979] AC 731

This case concerned the use of ‘Advocaat’ as a name for an alcoholic drink. An English firm was enjoined from marketing its product as ‘Keeling’s Old English Advocaat’, since the drink was made up, not of brandewijn, egg yolks, and sugar, but rather of dried egg powder mixed with Cyprus sherry. It was also ruled that a name’s lack of geographical connotations was immaterial to this form of misrepresentation; the action lay because the defendant’s product was not made up of the correct ingredients, not because the correct ingredients came from a particular locality.

Since the ‘Advocaat’ case, the most important decisions are *Taittinger SA v Allbev Ltd*¹²⁶ (the ‘Elderflower Champagne’ case), *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury*¹²⁷ (regarding Swiss chocolate), *Diageo North America Inc v Intercontinental Brands (UCB) Ltd* (regarding vodka), and *FAGE v Chobani* (regarding Greek yoghurt).¹²⁸ In the ‘Elderflower Champagne’ case, where the eponymous product was sold at a very low price but in a get-up akin to that of real champagne, it was held that the

misrepresentation was either that the drink was champagne or that it was in some way associated with the French champagne houses. In the Diageo case, the court found that applying ‘Vodkat’ ‘plainly suggests that the product either is vodka or a version of vodka or contains or is made from vodka’.¹²⁹

Key point on misrepresentation in extended passing off cases

- The representation in such cases is that the product in question belongs to a particular class of goods, and arises through the use of the name for that class when the disputed goods do not conform with the common characteristics of the class.

p. 688 Damage

Damage to goodwill

16.59 The courts have recognised a variety of ways in which the goodwill of a trader may be damaged by the representations of another trader in connection with their goods and services. The most obvious form of damage is loss of custom, actual or potential, arising from confusion. Closely related to this is the attraction of custom by the defendant using the goodwill associated with the claimant. It may not be possible to show that the customer bought goods from the defendant which they would otherwise have bought from the claimant—for example, because the parties do not trade in the same field—but, nonetheless, an action of passing off will lie if the customer will associate the goods with the claimant to their potential detriment.¹³⁰ In *Knight v Beyond Properties Pty Ltd*,¹³¹ the ‘Mythbusters’ case (for the facts see para 16.14), it was recognised that the claimant might have been able to claim for loss of opportunity to convert his books into a TV series had the evidence supported that as a real possibility (which it did not).

■ *Annabel’s (Berkeley Square) Ltd v Shock* [1972] RPC 838

Annabel’s was a well-known nightclub. S started an unconnected escort agency under the same name. It was held that there was passing off. Escort agencies did not have a good public image and, while S’s agency was above reproach, it was inevitable that the two businesses would be associated in the public mind and that the nightclub’s good reputation would be damaged, attracting to it the wrong kind of goodwill.

■ *UK Gymnastics Ltd v British Amateur Gymnastics Association* [2021] EWCA Civ 425

This case concerned two bodies both providing gymnastics-related services such as competitions. UKG appealed against findings of trade mark infringement and passing off in using the phrase 'UK Gymnastics' and two logos with those words. UKG successfully appealed against the finding that stating they were a 'National Governing Body' for gymnastics was misrepresentation that damaged BAGA's goodwill by suggesting they had a connection to BAGA. However, the Court of Appeal affirmed the finding of passing off on two other grounds relating to the use of the logos.

16.60 Damage to trading relationships with business customers, suppliers, distributors, and retailers, which have been recognised as part of goodwill, can also result from passing off activities, and so be a basis for action.¹³² For an action to succeed, however, only one of the categories of damage which has been discussed must be established.¹³³

Key points on main forms of damage relevant to passing off

The main traditional forms of damage relevant to passing off are:

- loss of custom, actual and potential;
- attraction of custom by defendant using claimant's goodwill;
- ↶ damage to claimant's reputation, and thence goodwill, through false associations;
- damage to claimant's trading relations.

p. 689

Dilution of a name

16.61 The defendant's activities may have the effect of diminishing goodwill by lessening the distinctive associations and reputation of the claimant's device.¹³⁴ This has been especially important in the product goodwill cases (para 16.19), where the action of passing off has been used to ensure that a name retains a particular meaning in the market and cannot be attached to any other product.¹³⁵ Here, again, it may well not be possible to show that the claimant has been deprived of custom, but the reputation of their product is endangered by the defendant's activities and so there can be a remedy. This kind of damage is often referred to as 'dilution'. The scope of dilution as a kind of damage has been the subject of controversy in the courts.¹³⁶

■ ***Taittinger SA v Allbev Ltd* [1993] FSR 641**

This was the so-called ‘Elderflower Champagne’ case (see para 16.45). In this case, only some of the public would be deceived by the defendant’s use of the name ‘Elderflower Champagne’ that the product was champagne. But the judges of the Court of Appeal all thought that the damage extended beyond loss of custom to the blurring or erosion of the uniqueness attendant upon the word ‘champagne’; to a gradual debasement or dilution not demonstrable in figures of lost sales, but diminishing the goodwill. The clearest statement was by Sir Thomas Bingham MR (at 678):

Any product which is not Champagne but is allowed to describe itself as such must inevitably, in my view, erode the singularity and exclusiveness of the description Champagne and so cause the first plaintiffs damage of an insidious but serious kind ... [A] reference to champagne imports nuances of quality and celebration, a sense of something privileged and special. But this is the reputation which the Champagne houses have built up over the years, and in which they have a property right. It is not in my view unfair to deny the defendants the opportunity to exploit, share or (in the vernacular) cash in on that reputation, which they have done nothing to establish. It would be very unfair to allow them to do so if the consequence was, as I am satisfied it would be, to debase and cheapen that very reputation.

But contrast Millett LJ in:

■ ***Harrods Ltd v Harrodian School Ltd* [1996] RPC 697**

An action by a London department store to prevent a school from trading as the ‘Harrodian School’ was unsuccessful (see para 16.55). On damage and the possibility of dilution of the Harrods name, Millett LJ said (at 716):

To date the law has not sought to protect the value of the brand name as such, but the value of the goodwill which it generates; and it insists on proof of confusion to justify its intervention. But the erosion of the distinctiveness of a brand name which occurs by reason of its degeneration into common use as a generic term is not necessarily dependent on confusion at all ... I have an intellectual difficulty in accepting the concept that the law insists upon the presence of both confusion and damage and yet recognises as sufficient a head of damage which does not depend upon confusion.

Question

How far, if at all, does ‘dilution’ differ from the more traditional forms of damage recognised in passing off actions?

Does the concept of dilution blur the distinction between ‘goodwill’ and ‘reputation’ (para 16.13)?

Key points on dilution

- Dilution is a form of damage in which the defendant’s activities in some way weaken or diminish the distinctive associations and reputation of the claimant’s marketing device (typically a name), without necessarily depriving the claimant of customers.
- Dilution appears to be important in ‘product goodwill’ or ‘extended passing off’ cases, but has also been deployed in the case of false endorsement.
- Dilution is a controversial form of damage, since it seems to weaken the requirement of goodwill and lead passing off into the protection of reputation.

Damage need only be prospective

16.62 It is clear law that in general damage (of whatever kind) need not have been actually suffered before the action is brought. An injunction or an interdict can certainly be obtained because the likelihood of damage is reasonably anticipated.¹³⁷ It has been said that there is a presumption of damage in cases where the defendant has sold goods as those of the claimant.¹³⁸ In cases of fraud, the burden of proving damage will be light.¹³⁹ Note also that interim interdicts granted in Scotland may extend to the rest of the UK.¹⁴⁰

Defences

16.63 All the requirements of passing off as discussed so far in this chapter may be present, yet the party sued may have a defence. Some defences are of course implicit in the requirements of passing off which have been discussed; for example lack of goodwill, absence of confusion, that one is making honest use of one’s own name. But there are some defences in passing off which arise even if all the other requirements of the claim are met. The scope of some of these is rather uncertain: for example, parody, as when it was held that there was no passing off by title in a film called ‘Alternative Miss World’ satirising a beauty competition.¹⁴¹ But a defence of parody was of no avail in *Clark v Associated Newspapers Ltd*,¹⁴² where the parodist had not done enough to prevent confusion as to the authorship of the work amongst readers; while in *Irvine v Talksport Ltd*¹⁴³ the suggestion that the manipulated picture of Irvine listening intently to a radio marked with Talksport insignia would be seen as a joke by its intended audience was rejected by the court. One of the most important defences in practice is delay—technically known as acquiescence, or taciturnity and *mora*—

p. 691 on the part of the person raising the action of passing off: that is to say, despite knowing of the other party's activities, taking no steps to prevent them for a significant period of time. Thus, for example, in *Bulmer v Bollinger*¹⁴⁴ champagne houses were unable, after 18 years of use, to prevent cider being marketed as 'champagne perry'. In *Arsenal Football Club plc v Reed*,¹⁴⁵ the defendant traded openly outside the Arsenal ground for 30 years, and in such circumstances, especially when there was no evidence of actual confusion in the marketplace for the goods in question, the failure of the club's passing off action was unsurprising. An important discussion of the defence is in the following Scottish case, where it was rejected.

■ *William Grant & Sons Ltd v Glen Catrine Bonded Warehouse Ltd* 2001 SC 901

WG sought to prevent GC from using the name 'Grant's' in connection with the sale of gin, vodka, and other alcoholic drinks. WG had been selling whisky products under the name 'Grant's' since the 1920s, and gin and vodka since 1963. GC began using the name on gin in 1972 and on vodka in 1974. From 1986 GC's sales began to increase dramatically. GC believed they could use the name 'Grant's' as it had been the name of a company they acquired in 1972. GC defended WG's claim of passing off on the basis of acquiescence. The action was raised in 1992, although there had been communication between the parties since WG became aware of GC's activities in 1986. It was held that WG were not barred by acquiescence from a remedy for passing off. GC had exploited the name 'Grant's', not because they believed WG had consented, but because they believed they had a historical right to use the name. Further, acquiescence was being invoked to bar action in respect of future wrongs (ie continued passing off), but the evidence did not justify an inference that WG had consented irrevocably to GC passing their products off as WG's in the future. Knowledge was not the same as acquiescence. The court, although relying principally on Scottish authorities on personal bar (anglicé estoppel),¹⁴⁶ found support for its approach in the English design law case of *Farmers Build Ltd v Carier Bulk Materials Handling Ltd* [1999] RPC 461.

Question

What constitutes acquiescence or delay sufficient to prevent a party succeeding in a passing off action?

Key points on defences

- A defendant who can show that their activity went on for many years unchecked before the raising of the action has a good defence against an action of passing off.

- The technical names for this defence are *acquiescence*, *taciturnity*, *mora*, and *delay*.
- It follows that claimants should take prompt action when they learn of possible passing off.

The internet and passing off

16.64 The passing off action has also become relevant in the internet context.¹⁴⁷ This includes attempts to control ‘cyber-squatting’.¹⁴⁸ Trade mark owners turned to the law of passing off as a way of evicting the ‘squatters’. They gained their way in *British Telecommunications plc v One in a Million Ltd*.¹⁴⁹

■ *British Telecommunications plc v One in a Million Ltd* [1999] 1 WLR 903 (CA)

OM were dealers in domain names who had registered the following names: ladbrokes.com; sainsbury.com; sainsburys.com; j-sainsbury.com; marksandspencer.com; cellnet.net; bt.org; virgin.org. Other dealers who were co-defendants in the case had registered marksandspencer.co.uk; britishtelecom.co.uk; britishtelecom.net, and britishtelecom.com. They were sued for passing off by Marks & Spencer plc, J Sainsbury plc, Virgin Enterprises Ltd, British Telecommunications plc, Telecom Cellular Radio Ltd, and Ladbrokes plc. The Court of Appeal held that there was passing off and that the plaintiffs were entitled to *quia timet* injunctions. Analysis of previous case law showed that an injunction could be granted against a defendant equipped with or intending to equip another with an instrument of fraud. A name which would, by reason of its similarity to the name of another, inherently lead to passing off, is such an instrument. The Court could infer an intention to appropriate goodwill or enable others to do so, even if there was a possibility that such appropriation would not take place (the importance of this point being that there was little evidence that the ‘cyber-squatters’ intended actually to trade under the domain names or to sell the names to anyone other than the plaintiffs, although there were threats, express or implied, to do so contained in the communications between them and the owners).

16.65 The decision builds on earlier cases, mostly concerned with exporting material which would be used in the destination country to pass off goods as coming from a particular source in this country (para 16.49). In general, supply of the means by which another trader might pass off goods or services—for example, providing materials for bottling or labelling—is not passing off unless there is fraud or at any rate intention and knowledge on the part of the supplier (see para 16.50). The difficulty in the *One in a Million* case is that the domain names held by the cyber-squatters were of very little value in the hands of anyone other than the cyber-squatters and the companies whose names had been used. Had the cyber-squatters attempted themselves to trade under the domain names, or sold them to third parties so to trade, then there would have

been passing off in the ordinary sense. So, it is difficult to see how cyber-squatting is analogous to the earlier 'instruments of fraud' cases. The decision is also difficult to reconcile with the classic definitions of passing off by Lords Diplock, Fraser, and Oliver quoted at the outset of this chapter (see paras 16.9 and 16.10).

Question

Does cyber-squatting constitute passing off as usually understood?

16.66 Courts have, however, followed the *One in a Million* decision without much quibble.¹⁵⁰ In *easyJet v Dainty*,¹⁵¹ for example the defendant registered the domain name 'easyRealestate.co.uk' and set up a website offering estate agency services; but he did no significant business through the site. He attempted to interest easyJet in his proposition, made use of 'easy-' style livery on the website, and ultimately attempted to sell his domain name to easyJet while threatening to sell to third parties. The defendant was held liable for passing off and the judge ordered that the domain name be transferred to easyJet.¹⁵² In the more recent case of *Vertical Leisure Limited v Poleplus Limited*,¹⁵³ the defendant was a competitor of the claimant in the sale of pole exercise dance equipment. After registering six domain names incorporating the brand name for a new pole launched by the claimant, the defendant wrote to the claimant to offer the domain names for sale; the court held that *One in a Million* was clearly applicable and granted summary judgment on the claimant's passing off claim.¹⁵⁴

p. 693 ↩ **16.67** *One in a Million* was distinguished, however, in *French Connection v Sutton*.¹⁵⁵ French Connection, a chain of fashion stores, began in 1997 to use the word FCUK in a widespread advertising campaign as well as registering it as a trade mark. Sutton, an internet consultant, registered 'FCUK.com' as a domain name, and set up a website at which he would advertise his consultancy. Summary judgment was refused: Sutton's website had offered services quite different from those of French Connection and the registration of FCUK as a domain name had not been merely for the purpose of extracting money from French Connection but to draw the attention of internet users to Sutton's site.¹⁵⁶

16.68 The key point is that the registration of a certain domain name on its own will not be passing off: there must be goodwill in the name.¹⁵⁷

16.69 A further issue about passing off on the internet arises in respect of metatags. Metatags are elements of the HTML language used to provide structured metadata about a webpage, that is, data about the material contained in the webpage. Metatags permit discovery of the website by search engines and also the generation of various forms of web advertising.¹⁵⁸ In *Reed Executive plc v Reed Business Information Ltd*¹⁵⁹ it was held at first instance that, while the visible uses of the relevant word, 'Reed', could constitute passing off this was not so for the invisible metatags. The Court of Appeal held that there was no passing off at all. Jacob LJ said of this evidence:¹⁶⁰

In all cases where totaljobs was listed, it came below the Reed employment site in the search results (which, as is usual, included many other results, irrelevant to both sides). Obviously anyone looking for Reed Employment would find them rather than totaljobs. I am unable to see how there could be passing off. No one is likely to be misled—there is no misrepresentation. This is equally so whether the search engine itself rendered visible the metatag or not.

16.70 Questions also arise in the context of keyword advertising¹⁶¹ as seen in *Victoria Plum Ltd v Victorian Plumbing Ltd*,¹⁶² which concerned the sellers of bathroom products. Bidding for keywords can form the basis of a passing off action:¹⁶³

There is nothing in those advertisements to indicate the absence of a connection between the parties. Some users are likely to have clicked through to the Claimant's website, and their confusion is likely to have continued. The fact that many users may not be confused is not an answer. I consider that a substantial proportion of the relevant public are likely to have been misled into believing that the Claimant is, or is connected with, the First Defendant, and that this constituted a misrepresentation by the Claimant. In the circumstances I believe that there is a likelihood of damage.

Question

Why do metatags and keywords create problems relevant to the law of passing off?

Discussion point

For answer guidance visit www.oup.com/he/brown6e <<https://iws.oup.support.com/ebook/access/content/brown6e-student-resources/brown6e-chapter-16-guidance-on-answering-the-discussion-points?options=showName>>.

What do you think will be the next internet issue in which passing off is used?

p. 694 Unfair competition and passing off

16.71 As pointed out at the beginning of this chapter (para 16.7), passing off is usually taken to satisfy the requirements of the Paris Convention in this regard. It has sometimes been suggested that the expansion of passing off from the simple case of representing one's goods as those of another and thereby damaging that other's goodwill, means that it would be better to speak now of unfair competition rather than passing off. A particularly strong instance of this development has been the growth of protection of product goodwill, with its ability to prevent dilution of a valuable reputation in trade in a certain class of goods. But other

developments, such as the broadening concept of misrepresentation, the decreasing emphasis on confusion, and the recognition of ‘dilution’, are taking the law increasingly towards a basis in *misappropriation* of another’s *reputation* (as distinct from goodwill), to enable one to reap profit and enrichment where another has sown the seed.¹⁶⁴ Laddie J has gone as far as to say that the ‘underlying principle’ of passing off is ‘the maintenance of what is currently regarded as fair trading’,¹⁶⁵ while Aldous LJ, unconvinced by Laddie J’s rejection of the claim of passing off in the *Arsenal* case, suggested at the same time that the modern extensions of passing off meant that it was ‘perhaps best referred to as unfair competition’.¹⁶⁶ If we consider again the prohibitions listed in Article 10bis(3) of the Paris Convention we can see that passing off is capable of dealing with all three. Indeed, passing off goes further in several respects. It would not be straightforward to say, for example, that the use of passing off to prevent false endorsement or cyber-squatting comes squarely within these prohibitions. In *L’Oréal SA v Bellure NV*¹⁶⁷ the Court of Appeal was invited to develop a tort of unfair competition, either because the present law was in derogation from the Paris Convention or as an evolution of the common law. The Court held that there was no derogation from the Convention and vigorously rejected the argument that it could develop passing off to become a tort of unfair competition. Given that competition was not only lawful but also the mainspring of the economy, it was for Parliament rather than the judges to legislate for restraints upon competition. Jacob LJ was highly critical of the concept of misappropriation as the means of further developing the law, noting that there are ‘real difficulties in formulating a clear and rational line between that which is fair and that which is not’.¹⁶⁸

16.72 There have been attempts to reform the law in this area. During the parliamentary passage of what is now the Trade Marks Act 1994, the following additional section was proposed, although ultimately the amendment was withdrawn.¹⁶⁹

After Clause 56, insert the following clause:

Unfair Competition

- (1) Where any goods of the proprietor of a trade mark bearing the trade mark are associated in the course of trade with any label, packaging or container having an overall appearance of a distinctive character, it shall be an act of unfair competition, actionable as such, for any person in the course of trade to supply or offer to supply any such goods with or in any label, packaging or container which is similar in overall appearance, whether by reason of name, shape, colour, design or any combination thereof or otherwise, to the overall appearance of that of the proprietor’s goods if the use of the label, packaging or container either—
 - (a) is likely to cause confusion, which includes a likelihood of association with the proprietor or the proprietor’s goods; or
 - (b) without due cause takes unfair advantage of, or is detrimental to, the distinctive character or repute of the appearance of the proprietor’s goods or trade mark.

p. 695 ↵ **16.73** In March 2000 Lord McNally presented a Copyright and Trade Marks Bill before the House of Lords, which was again withdrawn, but which contained a clause which he described as follows.¹⁷⁰

Clause 3 seeks to tighten up the currently weak laws on competitive imitation. It is intended to prevent business from dressing up products so as to resemble competing goods, thereby taking unfair advantage of the original's reputation for quality and safety and investment in innovation and marketing. Such legislation is necessary because the imitation is designed deliberately to mislead consumers by stealing the identity and reputation of the rival product. When I was at the Retail Consortium I noted that it was not only the back-street trader who indulged in such copycat retailing. I believe that to steal a brand image is unfair to the initiator who over decades may have made an investment to win customer confidence in a particular product. ... The Bill also gives the wronged party a chance to seek damages in cases where imitation is proven. The present laws, like so many others in this area, present a barrier to innovation by industry and consumers continue to be deceived.

Exercise

Consider how each of the three prohibitions in the Paris Convention article on unfair competition is dealt with by the law of passing off. Should there be a law of unfair competition to prevent imitative trading even if customers are not confused between the competing products?

16.74 While the idea of replacing passing off with a more general law against unfair competition is attractive in some ways—in stopping the need to strain the basic concepts of passing off to meet new forms of unfair trading, and in enabling those who invest time, creativity, and labour in generating products and services attracting goodwill to gain appropriate rewards without quite so much risk of free-riding by less innovative or would-be competitors—there are countervailing arguments.¹⁷¹ Perhaps the most potent is that, while a law of unfair competition would be justified ultimately as a protection of consumers, it would be administered through the courts and by way of litigation involving, not the consumer directly, but rather the suppliers competing for the consumer's custom. It is not immediately clear that this would be the most efficient or effective way of protecting the consumer from unfair trading practices.

Further reading

Books

General

L Bently, B Sherman, D Gangjee, and P Johnson, *Intellectual Property Law* (6th edn, 2022), Chs 31–34

H Carty, *An Analysis of the Economic Torts* (2nd edn, 2010), Ch 11

D Llewelyn and T Aplin, *Cornish, Llewelyn and Aplin Intellectual Property: Patents, Copyright, Trade Marks and Allied Rights* (9th edn, 2019), Ch 17.1

C Ng, L Bently, and G D'Agostino, *The Common Law of Intellectual Property* (2010)

C Wadlow, *The Law of Passing Off: Unfair Competition by Misrepresentation* (6th edn, 2021)

p. 696 **Articles**

General

H Carty, 'The common law and the quest for the IP effect' [2007] IPQ 3: 237

M Spence, 'Passing off and the misappropriation of valuable intangibles' (1996) 112 LQR 472

Development of the law

EM Clive, 'The action of passing off: its scope and basis' 1963 JR 117 (Scots law)

Goodwill

H Carty, 'The dissipation of goodwill in the tort of passing off: an analysis' [2015] IPQ 3: 177

J Davis, 'The continuing importance of local goodwill in passing off' (2015) 74 CLJ 419

S Naresh, 'Passing off, goodwill and false advertising: new wine in old bottles' (1986) 45 CLJ 97

CW Ng, 'Goodwill without borders' (2018) 134 LQR 285

Misrepresentation

A Blythe, 'Misrepresentation, confusion and the average consumer: to what extent are the tests for passing off and likelihood of confusion within trade mark law identical?' [2015] 37(8) EIPR 484

J Griffiths, 'Misattribution and misrepresentation: the claim for reverse passing off as "paternity" right' [2006] IPQ 1: 34

J Phillips and A Coleman, 'Passing off and the common field of activity' (1985) 101 LQR 242

Passing off and new challenges

J Davis, 'Passing off and joint liability: the rise and fall of "instruments of deception"' [2011] 33(4) EIPR 204

Unfair competition

R Arnold, 'English unfair competition law' (2013) 44 IIC 63

A Breitschaft, 'The future of the passing-off action in the law against unfair competition—an evaluation from a German perspective' [2010] 32(9) EIPR 427

J Davis, 'Why the United Kingdom should have a law against misappropriation' (2010) 69(3) CLJ 561

C Wadlow, 'Passing off at the crossroads again: a review article for Hazel Carty, *An Analysis of the Economic Torts*' [2011] 33(7) EIPR 447

Notes

¹ See on English law, C Wadlow, *The Law of Passing Off: Unfair Competition by Misrepresentation* (5th edn, 2016); H Carty, *An Analysis of the Economic Torts* (2nd edn, 2010), Ch 8; M Spence, 'Passing off and the misappropriation of valuable intangibles' (1996) 112 LQR 472. For Scots law, see EM Clive, 'The action of passing off: its scope and basis' (1963) JR 117.

² *Meikle v Williamson* 1909 2 SLT 169 per Lord Skerrington at 172.

³ *Perry v Truefitt* (1842) 6 Beav 66 at 73 (49 ER 749 at 752). Note that although Lord Langdale refers only to selling goods, it is clear that passing off also applies to the supply of services. There seems no reason why it should not also apply to the supply of incorporeals and of land and buildings.

⁴ Trade Marks Act (TMA) 1994, s 2(2): 'No proceedings lie to prevent or recover damages for the infringement of an unregistered trade mark as such; but nothing in this Act affects the law relating to passing off.'

⁵ Note that a trade mark may be declared invalid under TMA 1994, s 47(2)(b) where an 'earlier right' exists, eg *Stone v Wenman* [2021] ETMR 63 where, in a dispute between two spiritual therapists, a counter claim for passing off was successful in respect of the words 'Archangel Alchemy'.

⁶ See *Yell Ltd v Giboin, Zagg Ltd* [2011] EWPCC 009; *Schutz (UK) Ltd v Delta Containers Ltd* [2011] EWHC 1712 (Ch); cf *Westwood v Knight* [2011] EWPCC 8 at paras 53–56 and 156; *Specsavers International Healthcare Ltd v Asda Stores Ltd* [2012] ETMR 17 at para 9.

⁷ EM Clive, 'The action of passing off: its scope and basis' (1963) JR 117, 134.

⁸ This issue is discussed later in this chapter (paras 16.71ff).

⁹ Paris Convention, Art 6*bis*.

¹⁰ [1990] RPC 341; [1990] 1 WLR 491; [1990] 1 All ER 873.

¹¹ [1979] AC 731; [1979] 3 WLR 68.

¹² See para 16.4.

¹³ See, eg, *British Diabetic Association v Diabetic Society Ltd* [1995] 4 All ER 812.

¹⁴ [1982] FSR 119.

¹⁵ *Day v Brownrigg* (1878) 10 Ch D 294 ('Ashford Lodge').

¹⁶ See *Consorzio Prosciutto di Parma v Marks & Spencer* [1991] RPC 351; *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury* [1999] RPC 826.

¹⁷ See further H Carty, 'Passing off and the concept of goodwill' [1995] JBL 139.

¹⁸ [1901] AC 217 per Lord Macnaghten at 223 and per Lord Lindley at 235.

- ¹⁹ See also discussion in the fashion context in *Westwood v Knight* [2011] EWPCC 8 at paras 152, 163, 176–77, 184–86, 202, and 205–07.
- ²⁰ *Birmingham Vinegar Brewery Co v Powell* [1897] AC 710; *Hoffmann-La Roche v DDSA* [1969] FSR 410.
- ²¹ *Phones 4U Ltd v Phone4U.co.uk Internet Ltd* [2006] EWCA Civ 244; [2007] RPC 5. For the registered trade mark test of distinctiveness, see paras 14.59ff.
- ²² *Lumos Skincare Ltd v Sweet Squared Ltd* [2012] EWPCC 22 at paras 38–39.
- ²³ *Stannard v Reay* [1967] RPC 589.
- ²⁴ *BBC v Talbot* [1981] FSR 228; *My Kinda Bones v Dr Peppers Stove Co* [1984] FSR 289.
- ²⁵ *Norman Kark Publications Ltd v Odhams Press Ltd* [1962] 1 WLR 380; *Ad-Lib Club Ltd v Granville* [1972] RPC 673.
- ²⁶ *Star Industrial v Yap Kwee Kor* [1976] FSR 256 (PC).
- ²⁷ *Melrose Drover Ltd v Heddle* (1902) 4F 1120; see also *Cowan v Millar* (1895) 22R 833.
- ²⁸ *Alexander Fergusson & Co Ltd v Matthews McClay & Manson Ltd* 1989 SLT 795, but residual goodwill can remain, see *Westwood v Knight* [2011] EWPCC 8 at para 216.
- ²⁹ For comment on this case, see CW Ng, ‘A common law of passing-off? English and Scottish perspectives’ (2009) 13 Edin LR 134.
- ³⁰ See further para 16.49. See also KHF Kwok, ‘Protection of a reputable foreign trader’s legitimate interests under the law of passing-off’ (2016) 132 LQR 186.
- ³¹ *Anheuser-Busch Inc v Budejovicky Budvar* [1984] FSR 413; note Lord Fraser’s speech in *Erwin Warnink v Townend* (‘Advocaat’) [1979] AC 731, with its reference to trade in England.
- ³² See also *Peter Waterman v CBS* [1993] EMLR 27 and *Jian Tools v Roderick Manhattan Group Ltd* [1995] FSR 924.
- ³³ See, for discussion of *Starbucks v British Sky Broadcasting Group*, J Davis, ‘The continuing importance of local goodwill in passing off’ (2015) 74 CLJ 3.
- ³⁴ See, in contrast, the recognition of international goodwill in the Australian case of *ConAgra v McCain Foods (Australia)* (1992) 23 IPR 193 (Fed Ct Aus). Note, however, the mitigation offered by TMA 1994, s 56 to ‘well-known marks’.
- ³⁵ 1981 SLT (Notes) 131.
- ³⁶ 1989 GWD 26–1186.
- ³⁷ [1987] RPC 189.
- ³⁸ *Brestian v Try* [1958] RPC 161 (CA).
- ³⁹ *Bignell v Just Employment Law Ltd* [2008] FSR 6.
- ⁴⁰ See further S Naresh, ‘Passing off, goodwill and false advertising: new wine in old bottles’ (1986) 45 CJ 97.
- ⁴¹ Regarding ‘pure malt’, see Burness, ‘Scottish Law December/January’ IHL 2004, 116 (Dec/Jan), 87–88.
- ⁴² [1998] RPC 117 at 128–29.
- ⁴³ [1981] 1 WLR 1265 (CA).

⁴⁴ [1999] FSR 27.

⁴⁵ *Contrast Revlon Inc v Cripps & Lee* [1999] FSR 27 in which the English subsidiary of a multinational group (Revlon) was unable to prevent the defendant's importation of products manufactured by the US parent company in the group and marked with the Revlon name, holding that the public, being unaware of the Revlon group's internal structure, did not distinguish amongst the various companies and that the sale of the imported products was not passing off by the defendants.

⁴⁶ *JH Coles Pty Ltd v Need* [1934] AC 82; *British Legion v British Legion Club (Street) Ltd* (1931) 48 RPC 555.

⁴⁷ *Athletes Foot Marketing Associates Inc v Cobra Sports Ltd* [1980] RPC 343; *Wienerwald Holding AG v Kwan Wong Tan and Fong* [1979] FSR 381 (Hong Kong). For a Scottish example of a foreign franchisor encountering difficulty of this kind, see *Salon Services (Hairdressing Supplies) Ltd v Direct Salon Services Ltd* 1988 SLT 417.

⁴⁸ In *L'Oréal SA v Bellure NV* [2007] RPC 14 at para 164; however, Lewison J states that the smell of a perfume does not form part of its goodwill protectable by the action of passing off, though the Court of Appeal took a different approach: *L'Oréal SA v Bellure NV* [2008] RPC 9 at para 127.

⁴⁹ See, eg, *Reddaway v Banham* [1896] AC 199; in *Scotland Cellular Clothing Co v Maxton & Murray* (1899) 1 F (HL) 29; *Bile Bean Manufacturing Co v Davidson* (1906) 8F 1181; *Kinnell v Ballantine* 1910 SC 246; *Salon Services (Hairdressing Supplies) Ltd v Direct Salon Services Ltd* 1988 SLT 417; *Fine & Country Ltd v Okotoks Ltd* [2012] EWHC 2230 (Ch).

⁵⁰ (1911) 28 RPC 308.

⁵¹ [1975] RPC 191.

⁵² [1970] FSR 89.

⁵³ 1988 SLT 414.

⁵⁴ *Burberry v Cording* (1909) 26 RPC 693.

⁵⁵ *Linoleum Manufacturing Co v Nairn* (1878) 7 Ch D 834.

⁵⁶ *Erven Warnink v Townend* [1979] AC 731.

⁵⁷ *John Haig & Co v Forth Blending Co* 1954 SC 35 per Lord Hill Watson at 38.

⁵⁸ '[I]t is possible for a claimant to acquire a goodwill in the shape and/or colour of a product and/or its packaging such that use of the same or a similar shape and/or colour by a defendant leads to a misrepresentation as to trade origin. The authorities show, however, that it is difficult, although not impossible, for claimants to establish that the shape and/or colour of a product and/or its packaging are distinctive of them' (at para 164).

⁵⁹ [1988] FSR 385.

⁶⁰ [2017] ETMR 4 (IPEC).

⁶¹ See R Burbidge, 'Protecting product get-up via passing off: an IPEC update' (2017) 12 JIPLP 4.

⁶² See, eg, *Gama Healthcare Ltd v Pal International Ltd* [2016] EWHC 75 (IPEC) (get-up of wet wipes).

⁶³ See *My Kinda Town v Soll* [1983] RPC 407.

⁶⁴ *Sony v Saray* [1983] FSR 302.

⁶⁵ *easyJet v Dainty* [2002] FSR 111.

⁶⁶ *L'Oréal SA v Bellure NV* [2007] RPC 14 (Lewison J), [2008] RPC 9 (CA) at para 127.

⁶⁷ [1981] 1 WLR 193 (PC).

⁶⁸ *ibid*, 200.

⁶⁹ See, eg, *Kinnell v Ballantine* 1910 SC 246 ('Horseshoe' for boilers); *Carlsberg v Tennant Caledonian Breweries Ltd* [1972] RPC 847 ('Special Brew' for lager); *Thistle v Thistle Telecom Ltd* 2000 SLT 262 ('Thistle' in relation to telecoms hardware and services); *Future Publishing Ltd v Edge Interactive Media Inc* [2011] ETMR 50 ('Edge' in relation to computer games).

⁷⁰ See *Woolley v Ultimate Products Ltd* [2012] EWHC 339 (Ch) regarding 'Henley' and 'Henleys' at paras 37–41 and 42 regarding damage, *aff'd* on appeal *Woolley v Ultimate Products Ltd* [2012] EWCA Civ 1038. Similarly, see *Property Renaissance Ltd v Stanley Dock Hotel Ltd* [2017] RPC 12 regarding 'Titanic Spa' and 'Titanic Hotel Liverpool' at paras 128–37.

⁷¹ See, eg, *County Sound plc v Ocean Sound plc* [1991] FSR 367; *Arsenal Football Club plc v Reed* [2001] RPC 922.

⁷² See, eg, *Specsavers International Healthcare Ltd v Asda Stores Ltd* [2011] FSR 1 at paras 190–92.

⁷³ *Comic Enterprises Ltd v Twentieth Century Fox Film Corp* [2016] ETMR 22 at paras 157–58 (regarding the word 'glee').

⁷⁴ *Mars UK Ltd v Burgess Group plc* [2004] EWHC 1912 (Ch).

⁷⁵ *ibid*, in particular para 33.

⁷⁶ *National Guild of Removers and Storers Ltd v Bee Moved Ltd* [2016] EWHC 3192 (IPEC).

⁷⁷ *Harrods v Harrodian School* [1996] RPC 697 at 706 (Millet LJ).

⁷⁸ 'Living dangerously' can be particularly relevant here; see *Specsavers International Healthcare Ltd v Asda Stores Ltd* [2011] FSR 1 at paras 190–92, para 193, and [2012] ETMR 17 at paras 71 and 115–16 (although the appeal before it did not involve passing off), discussed in respect of passing off in *Fine & Country Ltd v Okotoks Ltd* [2012] EWHC 2230 (Ch) at paras 177(9), (10), and 179.

⁷⁹ *Joseph Rodgers & Sons Ltd v WN Rodgers & Co* (1924) 41 RPC 277 per Romer J; approved in *Parker-Knoll Ltd v Knoll International Ltd* [1962] RPC 265 (HL), discussed in *Asprey & Garrard Ltd v Wra (Guns) Ltd and Asprey* [2002] ETMR 47 at paras 41–45 and quoted in *Reed Executive plc v Reed Business Information Ltd* [2004] RPC 40 (CA) per Jacob LJ at para 109; see also *IN Newman Ltd v Richard T Adlem* [2006] FSR 16 at paras 46–47.

⁸⁰ See, eg, *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury* [1998] RPC 117; [1999] RPC 826.

⁸¹ For an argument about the point in time at which confusion must take place in order to be legally actionable, see P O'Byrne and B Allgrove, 'Post-sale confusion' [2007] 2 JIPLP 315.

⁸² *Fine & Country Ltd v Okotoks Ltd* [2012] EWHC 2230 (Ch) at para 180.

⁸³ (1892) 19R 1035.

⁸⁴ 1977 SLT 38.

⁸⁵ [2007] RPC 5 (CA).

⁸⁶ See, eg, *Coca-Cola v Struthers* (1968) SLT 353; *Neutrogena Corporation v Golden Ltd* [1996] RPC 473; *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury* [1999] RPC 826; *Numatic International Ltd v Qualtex UK Ltd* [2010] RPC 25 (see para 16.32); *Lumos Skincare Ltd v Sweet Squared Ltd* [2012] EWPC 22 at para 87(5), (6).

⁸⁷ See, eg, *Reckitt & Colman Products v Borden Inc* [1990] RPC 341; [1990] 1 WLR 491; [1990] 1 All ER 873; *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury* [1999] RPC 826.

⁸⁸ [2001] RPC 46.

⁸⁹ See, eg, *Woolley v Ultimate Products Ltd* [2012] EWCA Civ 1038 at paras 43 and 47.

⁹⁰ Arsenal did not appeal against Laddie J's judgment on passing off. The case proceeded to other courts on issues about registered trade marks infringement: see further [2003] RPC 9 (ECJ); [2002] EWHC 2695 (Ch, Laddie J); [2003] RPC 39 (CA). But note the *obiter* comment of Aldous LJ in the Court of Appeal that he was unconvinced by Laddie J's rejection of the passing off claim ([2003] RPC 39 at para 70).

⁹¹ *Montgomery v Thompson* [1891] AC 217 per Lord Macnaghten at 225.

⁹² *Moroccanoil Israel Ltd v Aldi Stores Ltd* [2014] EWHC 1686 (IPEC) at para 25, emphasising that damage must also remain one of the elements of the tort.

⁹³ *Newsweek Inc v BBC* [1979] RPC 441 per Lord Denning MR at 447.

⁹⁴ *Dunlop Pneumatic Tyre Co v Dunlop Motor Co* 1907 SC (HL) 15 per Lord James of Hereford at 17.

⁹⁵ See also discussion in *Fine & Country Ltd v Okotoks Ltd* [2012] EWHC 2230 (Ch) at paras 75–82.

⁹⁶ *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury Ltd* ([1999] RPC 826 at 838). See also para 16.19.

⁹⁷ [1947] 2 All ER 845. This case is also relevant in the context of character merchandising and passing off (see para 18.51ff).

⁹⁸ See *Wombles Ltd v Wombles Skips* [1975] FSR 488.

⁹⁹ See J Phillips and A Coleman, 'Passing off and the common field of activity' (1985) 101 LQR 242.

¹⁰⁰ [1977] FSR 62 at 67.

¹⁰¹ See *Stringfellow v McCain Foods* [1984] FSR 413; *Miss World v James Street* [1981] FSR 309; *Mirage Studios v Counter-Feat Clothing* [1991] FSR 145; *Harrods Ltd v Harrodian School Ltd* [1996] RPC 697.

¹⁰² [1979] AC at 741–42.

¹⁰³ See *Dr Barnardo's Homes v Barnardo Amalgamated Industries* (1949) 66 RPC 103; *Annabels v Schock* [1972] RPC 838.

¹⁰⁴ *Dunlop Pneumatic Tyre Co v Dunlop Motor Co* 1907 SC (HL) 15 (tyre manufacturer and motor dealer); *Scottish Union & National Insurance* 1909 SC 318 (marine insurance and fire and life insurance); *Scottish Milk Marketing Board v Drybroughs* 1985 SLT 253 (milk products and beer); *Pebble Beach Co v Lombard Brands Ltd* 2002 SLT 1312 (golf course and whisky marketing).

¹⁰⁵ (1882) 7 App Cas 219.

¹⁰⁶ *John Walker v Ost* [1970] RPC 489; *John Walker v Douglas McGibbon* 1972 SLT 128; *John Walker & Sons Ltd v Douglas Laing & Co Ltd* 1993 SLT 156 (decided 19 October 1976); *White Horse Distillers Ltd v Gregson Associates Ltd* [1984] RPC 61; *William Grant & Sons Ltd v Glen Catrine Bonded Warehouse Ltd* 1995 SLT 936; aff'd 2001 SC 901; 2001 SLT 1419.

- ¹⁰⁷ *Paterson Zochonis Ltd v Merfarken Packaging Ltd* [1983] FSR 273.
- ¹⁰⁸ *Purefoy Engineering Co Ltd v Sykes Boxall & Co Ltd* (1955) 72 RPC 89. Sending a catalogue or statement about the substitution with the goods comes too late; the customer should be told in advance.
- ¹⁰⁹ *Bass v Laidlaw* (1886) 13R 898; *Thomson v Robertson* (1888) 15R 880; *Thomson v Dailly* (1897) 24R 1173; *Bayer v Baird* (1898) 25R 1142; (1898) 6 SLT 98; *Bass v Laidlaw* (1908) 16 SLT 660.
- ¹¹⁰ See, eg, *Havana Cigar & Tobacco Factories Ltd v Oddenino* [1924] 1 Ch 179 ('Corona' describes shape and size of cigars generally).
- ¹¹¹ *Henderson v Munro* (1905) 7 F 636 (interim interdict granted against the publication of a trade circular).
- ¹¹² *Wilkinson Sword v Cripps & Lee* [1982] FSR 16; *Colgate-Palmolive v Markwell Finance* [1989] RPC 497.
- ¹¹³ *Revlon Inc v Cripps & Lee* [1980] FSR 85.
- ¹¹⁴ *Boehringer Ingelheim KG v Swingward Ltd* [2004] 3 CMLR 3 at paras 55–59.
- ¹¹⁵ *Sony v Saray* [1983] FSR 302.
- ¹¹⁶ *British Legion v British Legion Club (Street)* (1931) 63 RPC 555.
- ¹¹⁷ Note, however, the *obiter* comment of Aldous LJ in the Court of Appeal that he was unconvinced by Laddie J's rejection of the passing off claim ([2003] RPC 39 at para 70), commented upon by S Middlemiss and S Warner, 'Is there still a hole in this bucket? Confusion and misrepresentation in passing off' (2006) 1 JIPLP 131 and C Wadlow, 'One more outing for Arsenal: a case of dilution or one for restitution?' (2006) 1 JIPLP 143. See further para 16.43.
- ¹¹⁸ *British Medical Association v Marsh* (1931) 48 RPC 565.
- ¹¹⁹ *Society of Accountants in Edinburgh v Corporation of Accountants* (1893) 20R 750; *Corporation of Accountants v Society of Accountants in Edinburgh* (1903) 11 SLT 424.
- ¹²⁰ [1960] Ch 262.
- ¹²¹ *Vine Products v Mackenzie* [1969] RPC 1.
- ¹²² *John Walker & Sons v Henry Ost* [1970] 1 WLR 917; *John Walker v Douglas McGibbon* 1972 SLT 128; *Lang Brothers v Goldwell* 1980 SC 237.
- ¹²³ *Bulmer (HP) Ltd v Bollinger (J) SA* [1978] RPC 79; *Taittinger SA v Allbev Ltd* [1993] FSR 641.
- ¹²⁴ 1965 SLT 21.
- ¹²⁵ [1979] AC 731.
- ¹²⁶ [1993] FSR 641.
- ¹²⁷ [1998] RPC 117; *aff'd* [1999] RPC 826.
- ¹²⁸ [2010] RPC 12 and [2014] ETMR 26, respectively.
- ¹²⁹ *Diageo North America Inc v Intercontinental Brands (UCB) Ltd* [2010] RPC 12 at para 167.

¹³⁰ See, eg, *Eastman Photographic Materials Ltd v Griffiths Cycle Corp* (1898) 15 RPC 105; *Walter v Ashton* [1902] 2 Ch 282; *Harrods Ltd v R Harrod Ltd* (1924) 41 RPC 74; *Dr Barnardos Homes v Barnardo Amalgamated Industries* (1949) 66 RPC 103; *Annabel's (Berkeley Square) Ltd v Schock* [1972] RPC 838; *Dash Ltd v Philip King Tailoring Ltd* 1988 GWD 7–304 (rev'd on other points 1989 SLT 39); *Phones 4U Ltd v Phone4u.co.uk Internet Ltd* [2007] RPC 5.

¹³¹ [2007] FSR 34 (Ch).

¹³² See, eg, *Chelsea Man Menswear Ltd v Chelsea Girl Ltd* [1987] RPC 189; *Highland Distilleries Co plc v Speymalt Whisky Distributors Ltd* 1985 SC 1; *Associated Newspapers plc v Insert Media Ltd* [1991] FSR 380.

¹³³ *Woolley v Ultimate Products Ltd* [2012] EWCA Civ 1038 at para 48.

¹³⁴ See, eg, *Rolls Royce v Dodd* [1981] FSR 517.

¹³⁵ See, above all, *Erven Warnink v Townend* [1979] AC 731; also *Macallan-Glenlivet plc v Speymalt Whisky Distributors Ltd* 1983 SLT 348; and *Highland Distilleries Co plc v Speymalt Whisky Distributors Ltd* 1985 SC 1.

¹³⁶ See further H Carty, 'Heads of damage in passing off' [1996] EIPR 487; A Murray, 'A distinct lack of goodwill' [1997] EIPR 345.

¹³⁷ But see *Planet Art LLC v Photobox Ltd* [2019] EWHC 1688 (Ch) (interim injunction refused).

¹³⁸ See *Draper v Trist* (1939) 56 RPC 429.

¹³⁹ *Bulmer v Bollinger* [1978] RPC 79.

¹⁴⁰ *William Grant & Sons Irish Brands Ltd v Lidl Stiftung & Co KG* 2021 SLT 889 on which see J Cornwell, 'Interim interdicts with pan-UK territorial scope: *William Grant & Sons v Lidl*' (2022) 26 Ed LR 1.

¹⁴¹ *Miss World v James Street* [1981] FSR 309.

¹⁴² [1998] RPC 261.

¹⁴³ [2003] EWCA Civ 423.

¹⁴⁴ [1971] FSR 405.

¹⁴⁵ [2001] RPC 922.

¹⁴⁶ On this aspect of the case, see E Reid, 'Acquiescence in the air' (2002) 4 JR 191.

¹⁴⁷ For example, *Jadebay Ltd v Clarke-Cole Ltd* [2017] EWHC 1400 (IPEC).

¹⁴⁸ See K Toft, 'Cybersquatting perhaps, but where's the goodwill?' (2019) 30 ELR 7.

¹⁴⁹ [1999] 1 WLR 903 (CA).

¹⁵⁰ See, eg, *easyJet v Dainty* [2002] FSR 6 (it was passing off to register the domain name 'easyRealestate.co.uk'). See also *Easygroup IP Licensing Ltd v Sermbezis* [2003] All ER (D) 25 (car rental websites). For critical commentary, see C Thorne and S Bennett, 'Domain names—internet warehousing: has protection of well known names on the internet gone too far?' [1998] EIPR 468; C Colston, 'Passing off: the right solution to domain names?' [2000] LMCLQ 523; H Carty, 'Passing off and instruments of deception: the need for clarity' [2003] EIPR 188.

¹⁵¹ [2002] FSR 6.

¹⁵² See also *Yell Ltd v Giboin, Zagg Ltd* [2011] EWPC 009 at paras 185–89; *Phones 4U Ltd v Phone4U.co.uk Internet Ltd* [2007] RPC 5 (CA); *Tesco Stores Ltd v Elogicom Ltd* [2007] FSR 4 (Ch);

¹⁵³ [2014] EWHC 2077 (IPEC).

¹⁵⁴ Citing *Vertical Leisure and One in a Million*, the court in *Yoyo.Email Ltd v Royal Bank of Scotland Group plc* [2016] FSR 18 also came to the conclusion that domain name registration constituted passing off: para 16.

¹⁵⁵ [2000] ETMR 341.

¹⁵⁶ *ibid*, 345.

¹⁵⁷ *Media Agency Group Ltd v Space Media Agency Ltd & Ors* [2019] EWCA Civ 712 at para 28.

¹⁵⁸ See further A Murray, 'The use of trade marks as meta tags: defining the boundaries' (2000) 8 IJLIT 263; A Blythe, 'Searching questions: issues surrounding trade mark use on the internet' (2013) 35 EIPR 9.

¹⁵⁹ [2003] RPC 12 (Pumfrey J); *aff'd* [2004] RPC 40 (CA).

¹⁶⁰ [2004] RPC 40 (CA), para 147.

¹⁶¹ See paras 15.18ff. The sale of Google AdWords is an example of search engine advertising on the internet.

¹⁶² [2017] ETMR 8. The case concerned trade mark infringement with a counter-claim made for passing off.

¹⁶³ *ibid*, 156.

¹⁶⁴ A Kamperman Sanders, *Unjust Enrichment: The New Paradigm for Unfair Competition Law?* (1996).

¹⁶⁵ *Irvine v Talksport Ltd* [2002] 2 All ER 414 at para 17.

¹⁶⁶ *Arsenal Football Club plc v Matthew Reed* [2003] RPC 39 at para 70. See also: S Middlemiss and S Warner, 'Is there still a hole in this bucket? Confusion and misrepresentation in passing off' (2006) 1 JIPLP 131, and C Wadlow, 'One more outing for *Arsenal*: a case of dilution or one for restitution?' (2006) 1 JIPLP 143.

¹⁶⁷ [2008] RPC 9 (CA).

¹⁶⁸ *ibid*, para 140. See further L Harrold, 'The genie in the bottle: brand "free riding": what's permissible and what's not?' (2008) 3 JIPLP 511 and T Alkin, 'Should there be a tort of "unfair competition" in English law?' (2008) 3 JIPLP 48.

¹⁶⁹ The amendment was tabled by Lord Reay: *Parliamentary Debates*, House of Lords, vol 552, 24 February 1994, cols 749–59.

¹⁷⁰ *Parliamentary Debates*, House of Lords, vol 610, 17 March 2000, cols 1888–89. The whole debate on the Bill can be found at cols 1885–1906.

¹⁷¹ See especially H Carty, *An Analysis of the Economic Torts* (2010), Chs 8, 11.

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